ABFM Module A Unit wise marathon :

The Management Process

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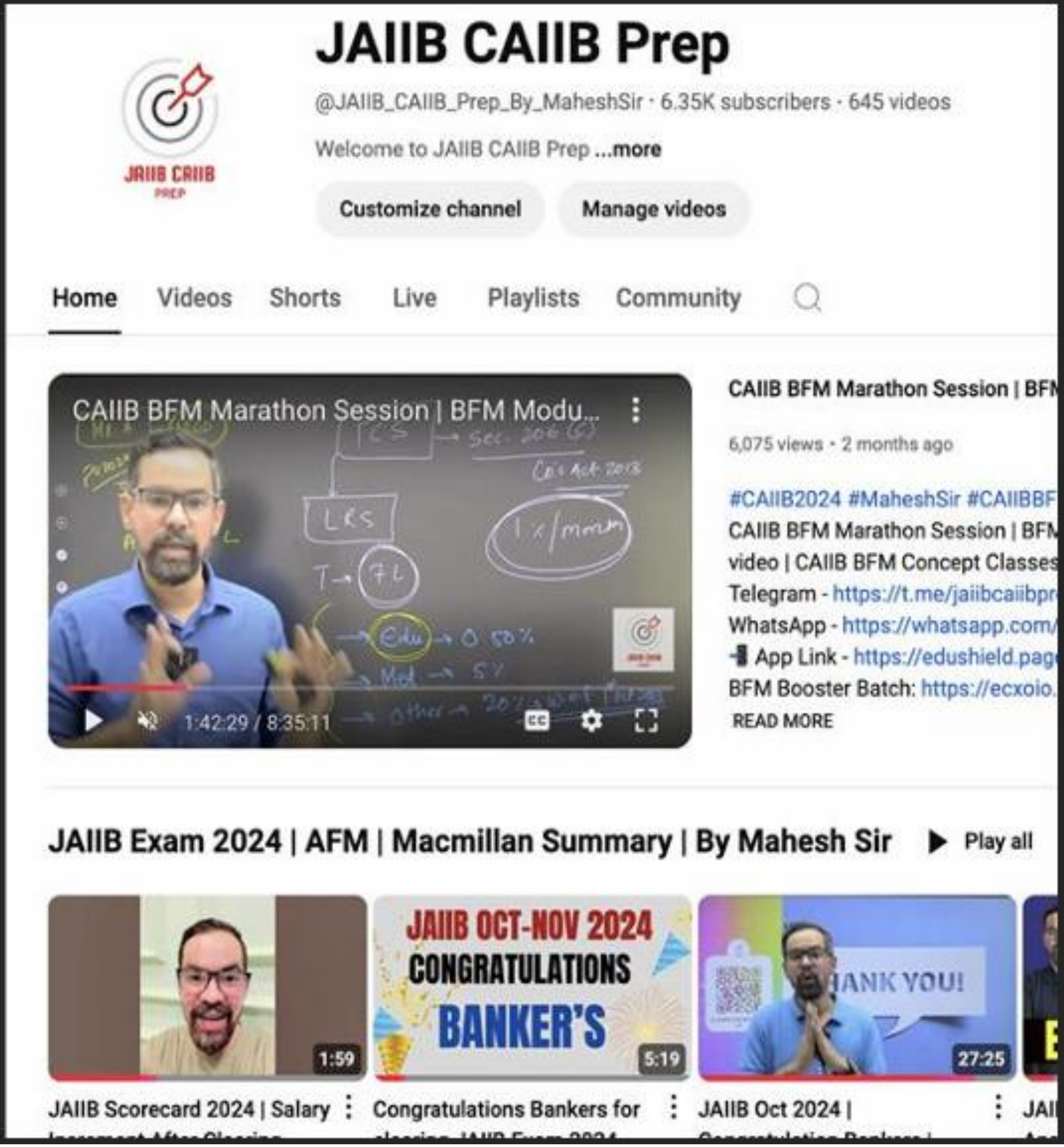

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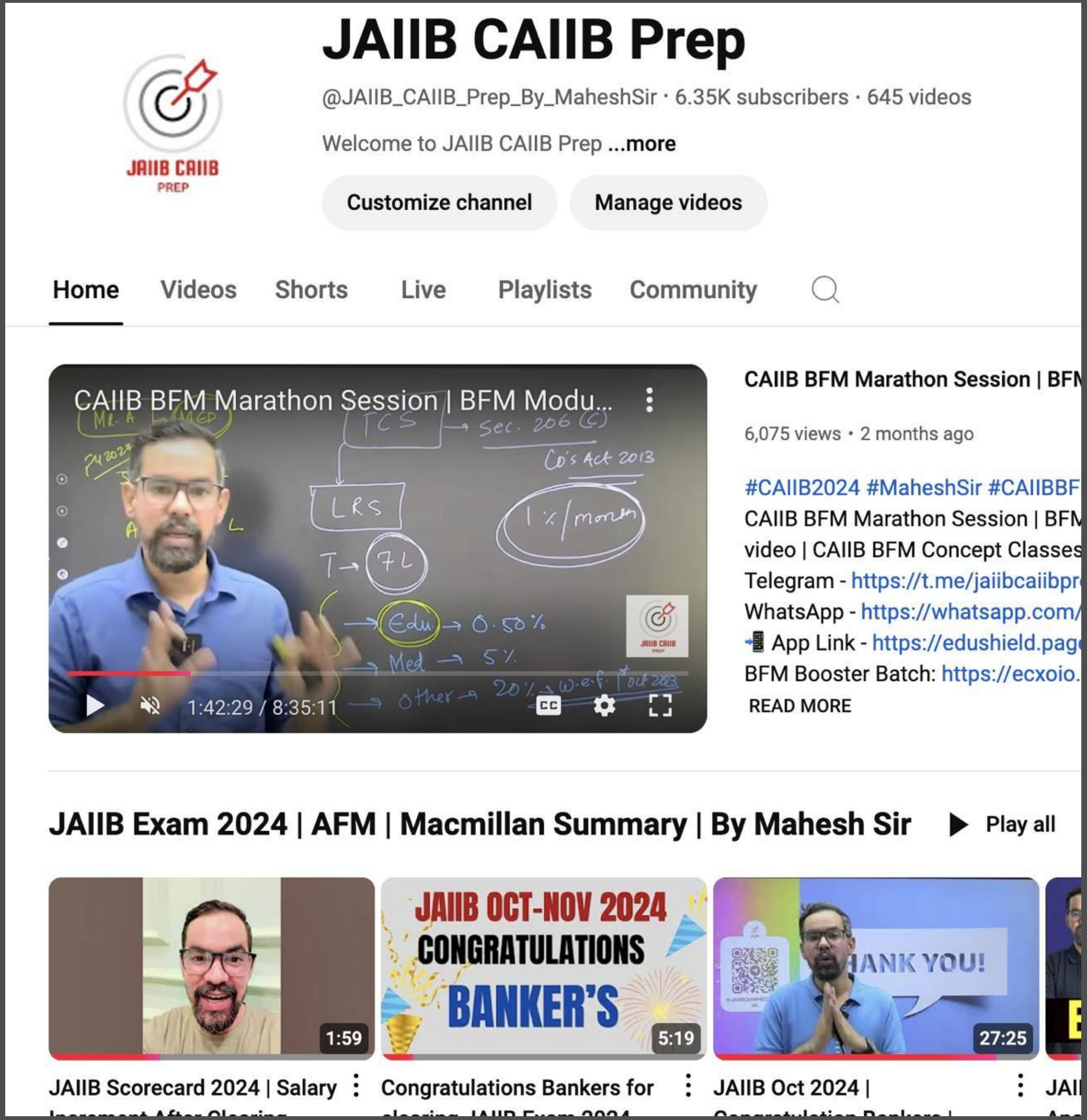

MODULE – A

THE MANAGEMENT PROCESS

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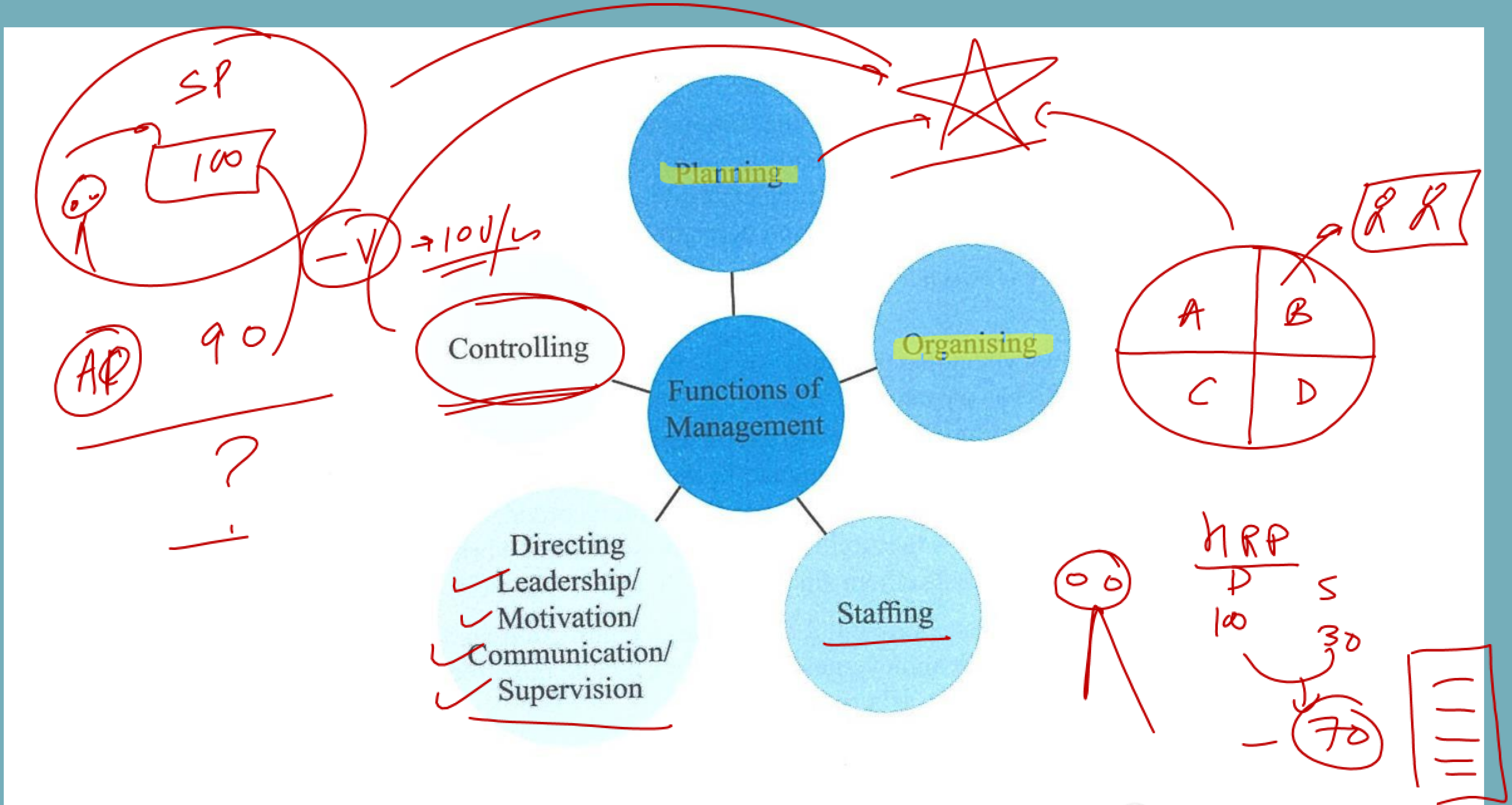
UNIT 1

BASICS OF MANAGEMENT

STRUCTURE



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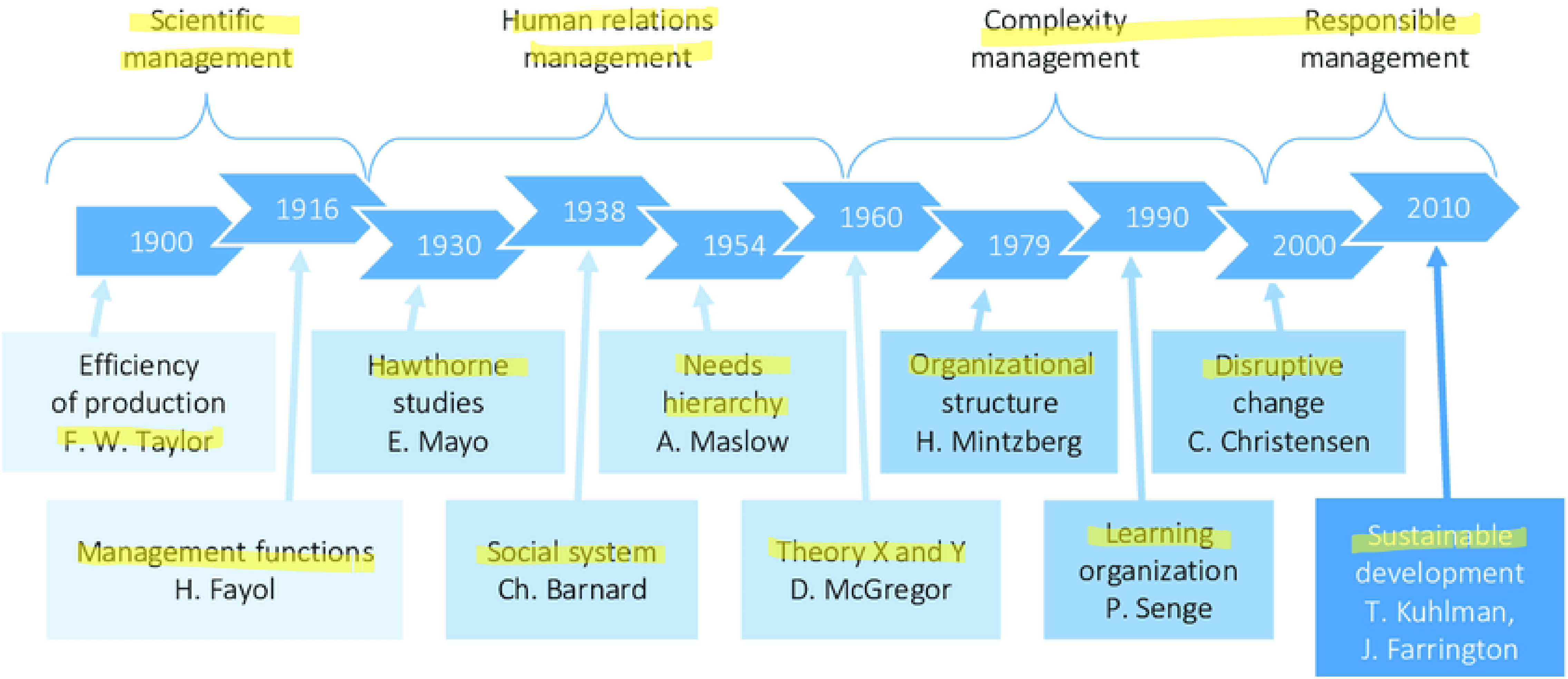
Importance of Management

- ✓ **Effective Change Management Tool**: Helps transition an organization from good to great.
- ✓ **Achieves Group Goals**: Aids planning and adapting to external changes, improving decisions and departmental coordination.
- ✓ **Optimum Utilisation of Resources**: Ensures efficient use of scarce resources.
- ✓ **Improves Business Functioning**: Enhances understanding, coordination, trust, motivation, and supervision among employees.
- ✓ **Develops Resources**: Promotes development of human, machine, and capital resources.
- ✓ **Better Organization Structure**: Clearly defines authority and job roles, enhancing responsibility at all levels.
- ✓ **Provides Proper Direction**: Guides the organization towards its goals and roadmap.

Management Thoughts

- ✓ Classical Thoughts
- ✓ Neo Classical Thoughts
- ✓ Morden Thoughts


Scientific management
Human relations management
Complexity management
Responsible management
1900
1916
1930
1938
1954
1960
1979
1990
2000
2010
Efficiency of production F. W. Taylor
Management functions H. Fayol
Hawthorne studies E. Mayo
Social system Ch. Barnard
Needs hierarchy A. Maslow
Theory X and Y D. McGregor
Organizational structure H. Mintzberg
Learning organization P. Senge
Disruptive change C. Christensen
Sustainable development T. Kuhlman, J. Farrington

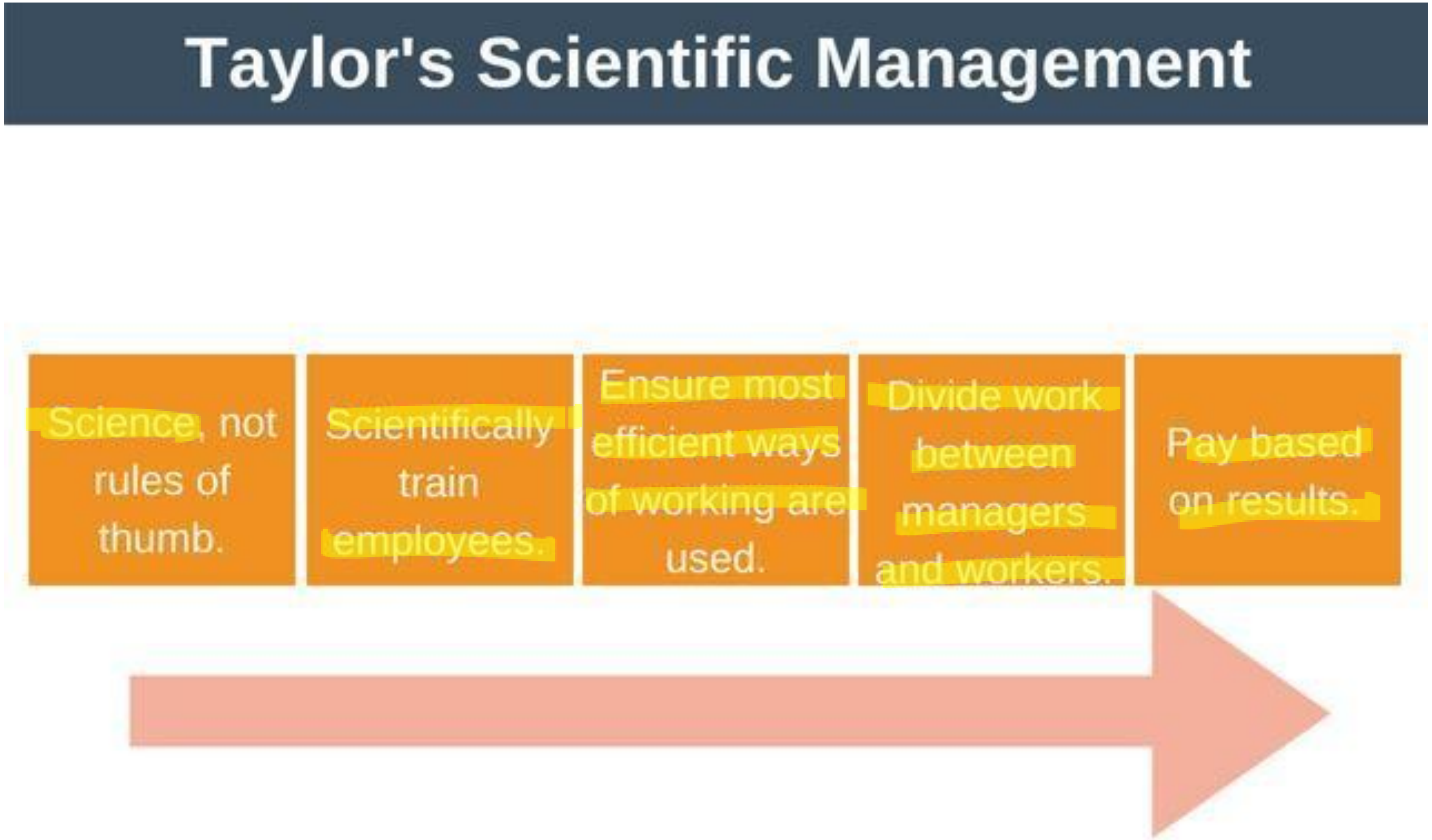
Management Thoughts

- ✓ Classical management theory focused on efficiency and structure, emphasizing scientific management, bureaucracy, and administrative principles.
- ✓ Neoclassical theory built upon this by acknowledging the importance of human relations and individual behavior, particularly through the Hawthorne experiments.
- ✓ Modern management theories view organizations as complex systems adapting to their environment, incorporating systems theory, socio-technical approaches, and contingency perspectives.

Classical Management Theory:

- ✓ **Core Idea:** Maximize efficiency through structured approaches and scientific principles.
- ✓ **Key Thinkers:** Frederick Taylor (scientific management), Henri Fayol (administrative theory), Max Weber (bureaucracy).
- ✓ **Focus:** Division of labor, hierarchical structure, formal rules and regulations, centralized decision-making, and emphasis on productivity.
- ✓ **Examples:** Scientific management focused on optimizing work processes, while bureaucratic management emphasized formal structures and procedures.
- ✓ **Limitations:** Often viewed as mechanistic and neglecting human factors, potentially leading to low morale and decreased motivation.

Scientific Management Theory



Scientific Management Theory

- American mechanical engineer Frederick Taylor, who was one of the earliest management theorists, pioneered the scientific management theory.
- Taylor's philosophy emphasized the fact that forcing people to work hard was not the best way to optimize results.
- Instead, Taylor recommended simplifying tasks to increase productivity.
- Using scientific methods to determine and standardize the one best way of doing a job. A clear division of tasks and responsibilities. High pay for high-performing employees.
- The resulting collaboration between employees and employers evolved into the teamwork that people now enjoy.

Administrative Management (Henri Fayol): Fayol focused on the management process rather than the individual tasks. He introduced the concept of the "functions of management" (planning, organizing, commanding, coordinating, and controlling) and proposed principles of management, such as unity of command and division of labor.

- **Activities that plan, organize, and control the operations of the basic elements of people, materials, machines, methods, money, and markets is known as principles of management.**
- **It provides direction, coordination, and giving leadership to human efforts, so as to achieve the sought objectives of the enterprise.**

HENRY FAYOL'S

14 PRINCIPLES OF MANAGEMENT

1. Division of work
2. Authority and responsibility
3. Discipline
4. Unity of Command
5. Unity of direction
6. Alignment of interest
7. Remuneration of employees
8. Centralisation
9. Scalar chain
10. Order
11. Equity
12. Stability of personnel
13. Initiative
14. Esprit de corps

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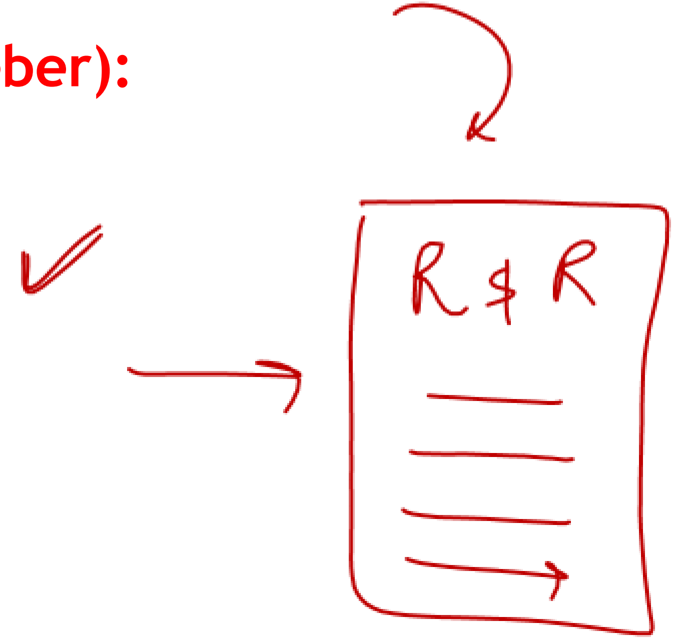
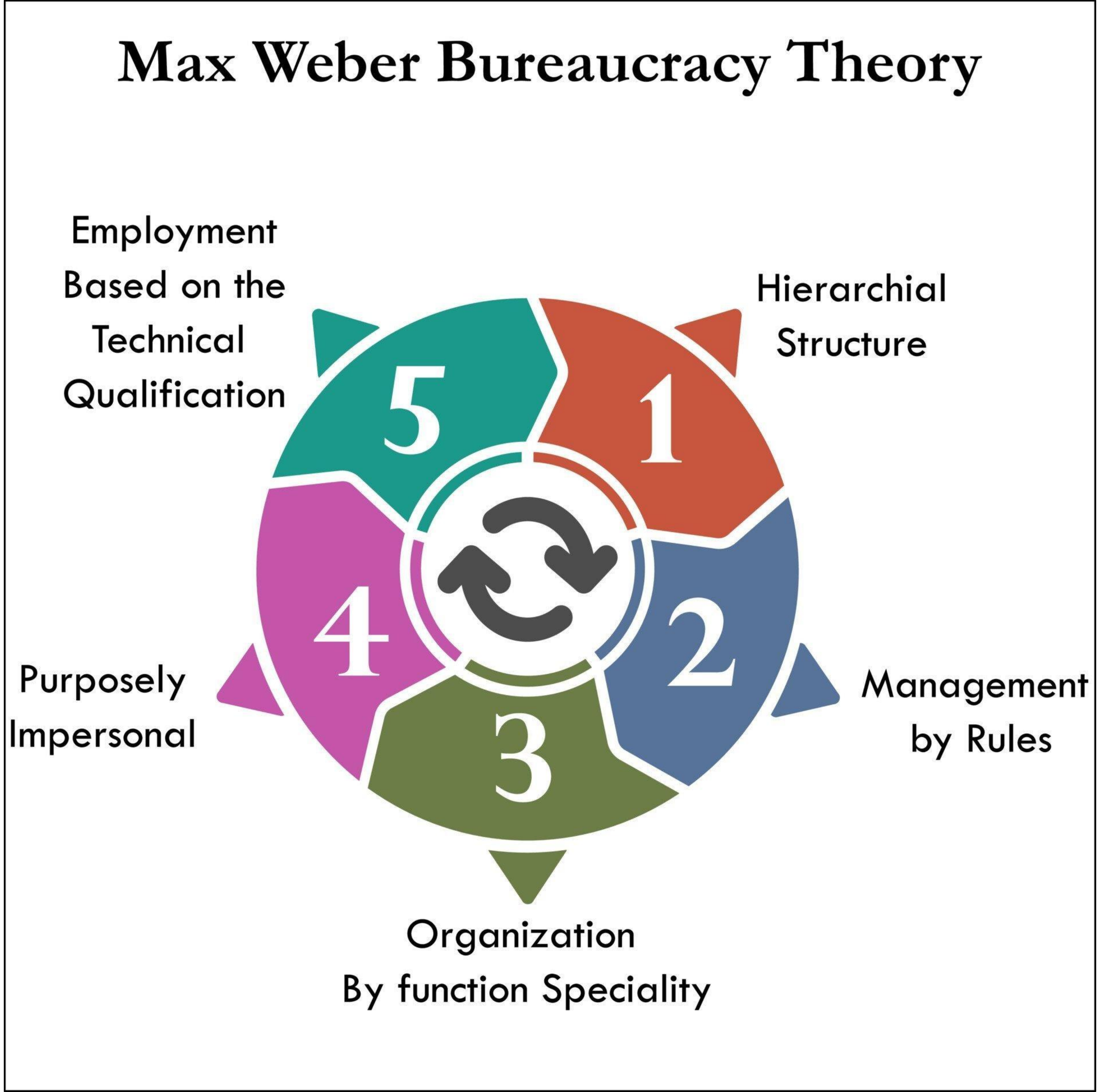
Bureaucratic Management (Max Weber):





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Max Weber's bureaucratic management theory is a management theory that emphasizes the importance of a strict organizational hierarchy and clear rules and procedures to maintain order and efficiency. Weber believed that bureaucracy was the most efficient way to manage organizations and human activity.

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Some key aspects of Weber's theory include:

1. **Hierarchy**: A strict organizational hierarchy with each higher level managing the level below it
2. **Rules**: Clear rules, procedures, and regulations to govern the organization and its members
3. **Impersonality**: Rules should be applied impartially
4. **Specialization**: Tasks should be divided into simple, routine categories based on what the employee does best
5. **Authority**: Authority should reside in the position, not the individual

Criticism of Bureaucratic Organization

Max Weber's Hierarchical Management Approach still has several fault lines and has attracted criticism for that.

- The focus is only on rules and laws.
- Owing to the formalities and regulations of the Hierarchical Organisation, there would be needless gaps in decision-making.
- Owing to so much formality and laws, organization and communication were hindered.
- Bureaucracy requires a lot of paperwork and has an extensive level of authority, resulting in a lot of time, effort, and resources being wasted. Not optimal for effectiveness.
- A hierarchical approach is not ideal for business organizations because of its unnecessary formality. For government agencies, the bureaucratic model might be appropriate.

Neoclassical Management Theory:

Core Idea: Recognizes the importance of human relations and individual behavior in the workplace.

Key Thinkers: Elton Mayo (Hawthorne experiments), Abraham Maslow (hierarchy of needs).

Focus: Social needs of employees, informal groups, motivation, and the impact of leadership styles.

Examples: The human relations movement emphasized the importance of social interaction and teamwork, while behavioral management focused on understanding individual behavior and motivations.

Limitations: May be seen as simplistic or idealistic, potentially overemphasizing the social aspects and neglecting the importance of structure and efficiency.

Behavioral Management (1G30s - 1G50s)

- Hawthorne Studies (Elton Mayo)
- Human Relations Movement
- Theory X and Theory Y

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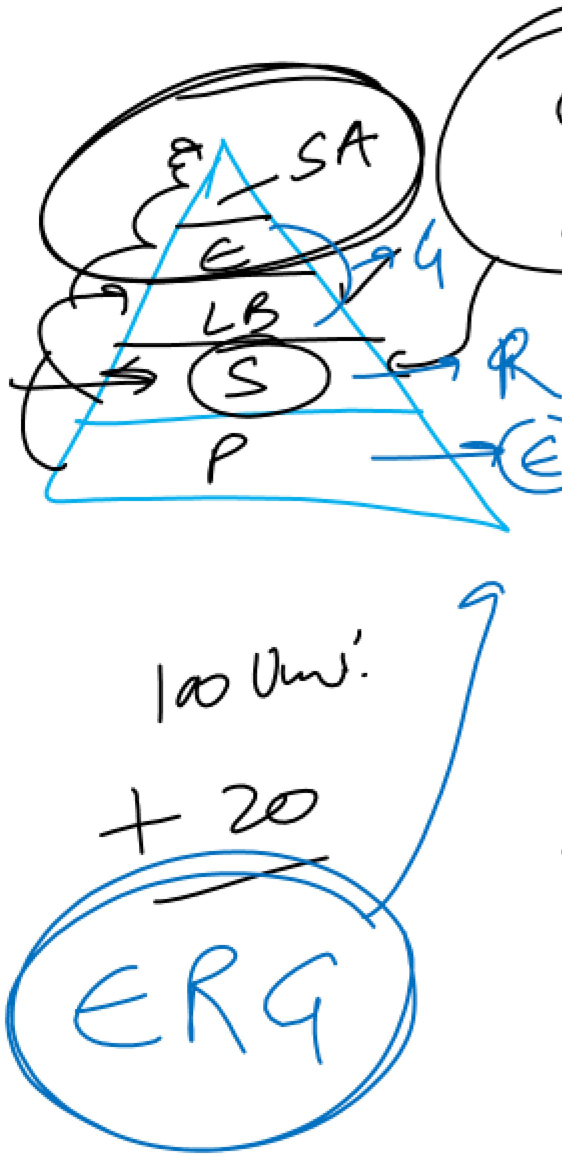
Hawthorne Studies (Elton Mayo): The Hawthorne studies, conducted at the Western Electric Company, showed that workers' attitudes and behaviors were influenced by factors such as social relationships, recognition, and the work environment. These studies shifted the focus from efficiency alone to a more holistic view of employee motivation and satisfaction.



Human Relations Movement (Abraham Maslow, Douglas McGregor): This movement emphasized the role of managers in motivating employees and understanding their needs. **Maslow's hierarchy of needs theory**, for example, argued that employees have basic needs (such as physiological and safety needs) that must be met before they can focus on higher-order needs (e.g., self-actualization). **McGregor's Theory X and Theory Y** introduced contrasting assumptions about human nature in the workplace—Theory X being more authoritarian, and Theory Y being more participative.

MCGREGOR'S THEORY X & Y

Theory X	Theory Y
Work avoiding	Work is natural
Need to control	Capable of self-direction
Avoid responsibility	Seek responsibility
Workers seek security	Can make good decisions

- Maslow's Hierarchy of Needs consist of 5 levels that often shape motivation styles in an organization.

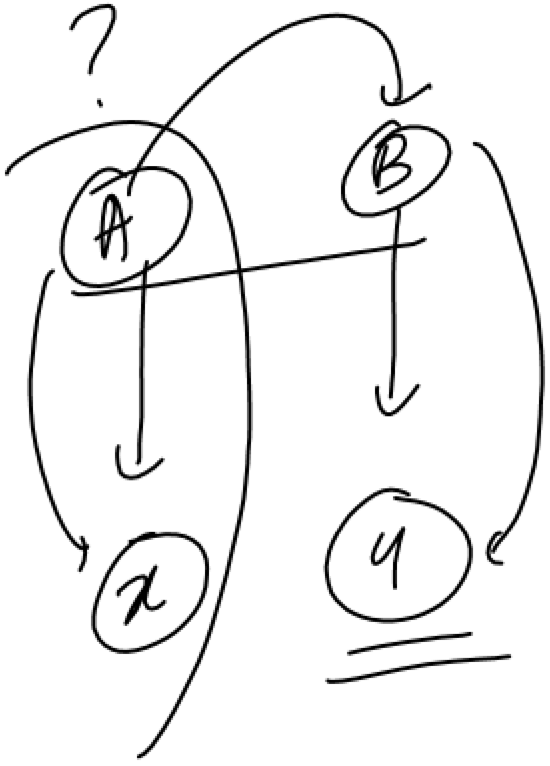
- According to this theory, an organization must move up the pyramid of needs to ensure all an employee's needs are met to motivate them.

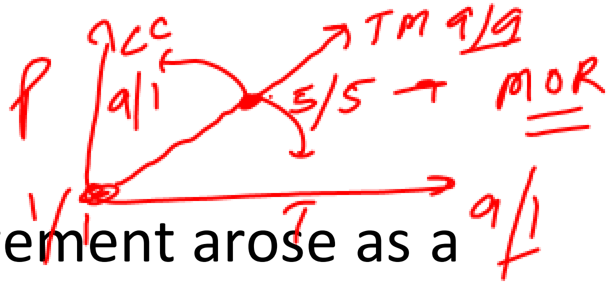
- Successful organizations focus on the top two levels of the pyramid by providing employees with the necessary recognition and developing opportunities for employees to feel they are doing valuable work.

Maslow's Hierarchy of Needs

Modern Management Theories:

Core Idea: Organizations are complex systems that must adapt to their dynamic environment.
Key Thinkers: Various thinkers contributing to systems theory, socio-technical systems, and contingency approaches.
Focus: Interconnectedness of organizational subsystems, environmental influences, situational factors, and the need for flexibility.
Examples: Systems theory views the organization as a whole with interconnected parts, while contingency theory emphasizes that there's no one best way to manage and that the most effective approach depends on the specific situation.
Characteristics: Emphasis on quantitative techniques, total quality management, and a holistic view of the organization.





Contingency Theory

The Contingency Approach to management arose as a response to the idea that **no single management style or method could be universally applied to all situations.** Instead, managers must adapt their strategies and practices to fit the specific conditions and challenges of their environment.

Fiedler's Contingency Model: Fiedler argued that the effectiveness of a leader's style depends on the situation. In some contexts, task-oriented leadership works best, while in others, a relationship-oriented approach is more effective.

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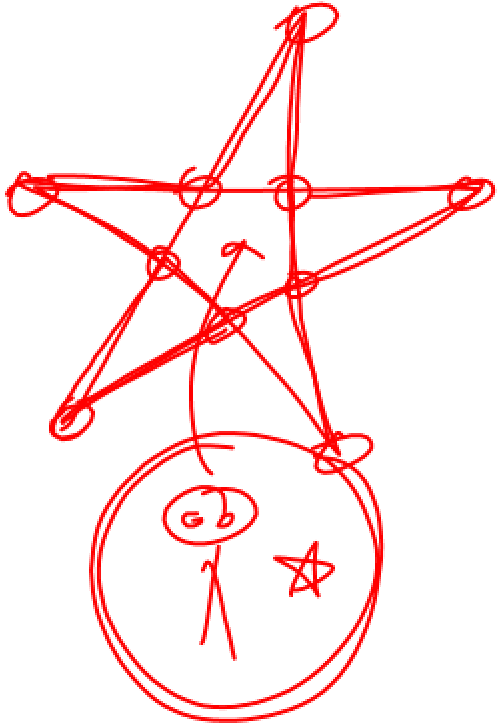
Contingency Management Theory

- The main concept behind the contingency management theory is that no one management approach suits every organization.
- There are several external and internal factors that will ultimately affect the chosen management approach.
- **The contingency theory identifies three variables that are likely to influence an organization's structure: the size of an organization, technology being employed, and style of leadership.**

Systems Theory



Systems theory introduced the idea that organizations are complex systems composed of interrelated parts. These systems interact with the external environment and must adapt to changes in order to survive and thrive. This perspective emphasized a holistic view of management, considering both internal processes and external forces.

Systems Theory

The **Systems Theory of Management** was developed by **Ludwig von Bertalanffy**, an Austrian biologist, in the 1940s. He originally formulated the **General Systems Theory (GST)**, which was a broad conceptual framework aimed at understanding complex systems across various disciplines.

In the context of management, the application of Systems Theory was later extended by **James G. Miller**, **Eric Trist**, and others who integrated this approach into the field of organizational theory.

Systems Management Theory

- Systems management offers an alternative approach to the planning and management of organizations.
- The systems management theory proposes that businesses, like the human body, consists of multiple components that work harmoniously so that the larger system can function optimally.
- According to the theory, the success of an organization depends on several key elements: synergy, interdependence, and interrelations between various subsystems.

Total Quality Management (TQM): TQM emphasizes continuous improvement in quality across all organizational processes.

Key proponents, such as W. Edwards Deming, advocated for a customer-focused approach to quality management, stressing the importance of long-term planning, employee involvement, and data-driven decision-making.

S. No.	Ohio State University Findings	S. No.	University of Chicago Findings
1.	**Consideration leader behaviour:** (a) Believes in building good rapport with subordinates and having good inter-personal relationship. (b) Shows support and concern for people.	1.	**Relation-oriented behaviour:** (a) Encourages social interactions (b) Involves mutual respect and trust (c) Empowers people
2.	**Initiating structure leader behaviour:** (a) Believes in proper structure for planning, scheduling and aligning different roles, with the task completion and attainment of business goals in mind.	2.	**Task-oriented behaviour:** (a) Defines structure and business goals (b) Emphasises planning (c) Defines priorities (d) Has a model for rewarding and punishing

Learning Organisation

- ✓ A learning organisation **adapts to environmental and technological changes** and encourages continuous learning and improvement.
- ✓ All employees are involved in **identifying and solving problems**, enhancing the organisation's capacity to grow and meet goals.
- ✓ Focuses on **teamwork, empowerment, and open information systems**.
- ✓ Concept popularised by **Peter Senge** in his book *The Fifth Discipline*.
- ✓ Encourages **adaptive and generative learning**, with collaborative problem-solving and innovation.

Five Disciplines of a Learning Organisation

1. **Personal Mastery**: Employees develop personal goals in a supportive environment, contributing to a shared vision.
2. **Shared Vision**: Achieved through trust and collaboration; employees and leaders work together toward common goals.
3. **Mental Models**: Involves reflecting on internal assumptions and perceptions to make better decisions and understand others more deeply.
4. **Team Learning**: Emphasizes humility, openness, and collaborative reflection among team members for collective growth.
5. **The standard Senge model:** Integrates the other four disciplines, viewing the organization holistically.

1.7 MANAGEMENT CHALLENGES & OPPORTUNITIES

Management faces a lot of challenges for achieving the business objectives and also gets a lot of opportunities, which need to be properly evaluated in a time bound manner. Several issues which are faced by the management include:

a) Which business model to adopt?
b) How to manage the information explosion?
c) How to manage the changes taking place every now and then?
d) How to face the threat of globalisation?
e) How to manage the impact of environmental sustainability?

Types of Business Models:

- ✓ **Solution Providing/Consulting Model**: Offers consulting services to improve client operations (e.g., IBM).
- ✓ **Profit Pyramid Model:** Starts with low-priced items; upsells higher-priced, high-margin products (e.g., General Motors).
- ✓ **Multi-component Systems Model**: Sell a core product cheap, profit from essential accessories (e.g., Gillette, HP).
- ✓ **Advertisement Model**: Offers free services/products, earns via advertising (e.g., YouTube, Google).
- ✓ **Switchboard Model**: Acts as a platform connecting many sellers and buyers (e.g., Amazon, eBay, Flipkart).
- ✓ **Time Model**: Success based on speed of innovation before competitors catch up.
- ✓ **Efficiency Model:** Waits for product standardization, then enters with low-cost, low-margin mass products (e.g., Dell, Walmart).
- ✓ **Blockbuster Model**: Relies on a few high-revenue products, often protected by patents (e.g., pharma, film industry).

Strategic Management: The **banking industry** is central to the financial sector and has evolved significantly:

- ✓ **Private Sector Banks** adopted a **technology-driven and aggressive approach** early on.
- ✓ **Public Sector Banks (PSBs)** lost dominance in **advances and deposits** post-2010-11.

Strategic Management has played a vital role in the sector's adaptation and growth amid changing conditions.

Strategic Management :

Strategic Management = Process of **formulating and implementing strategy** for achieving organizational goals.

Derived from Greek word **strategos** (General's view).

According to **Andrews (1980)**:

- ✓ Strategy reflects **decisions on goals, policies, business definition**, and **resource allocation**.
- ✓ It aims to achieve a competitive advantage by aligning business contributions with stakeholder interests.

Types of Strategies:

1. Corporate Strategy:

- ✓ Sets the **overall direction** for the company.
- ✓ Involves broad decisions about **growth, stability, or retrenchment**.
- ✓ Example: **TCS** used retrenchment by selling its Tata EX software business to focus on consulting.

2. Business Strategy:

- ✓ Developed at the **business unit or product/service level**.
- ✓ Focuses on **market position** and **industry-specific improvements**.
- ✓ Can be:
  - ❖ **Competitive**: Differentiate from rivals.
  - ❖ **Cooperative**: Form alliances for broader reach.

Example: **Intel** partnered with Microsoft to compete with AMD.

3. Functional Strategy:

- ✓ Focuses on **functional departments** like R&D, operations, etc.
- ✓ Aims to enhance **efficiency** and **build unique capabilities**.
- ✓ Example: Some companies innovate through R&D, while others imitate and improve existing products.

Strategic Management :

Environmental Scanning

1. Involves **monitoring internal and external environments.**
2. Uses **SWOT Analysis** to identify:
    1. **Strengths s Weaknesses** (internal)
    2. **Opportunities s Threats** (external)
3. **Internal factors:** Org structure, resources, culture – controllable by management.
4. **External factors:** Market trends, economic changes – generally uncontrollable.
5. This forms the **strategic context** for the organization.

Strategy Formulation:

1. Based on **situation analysis** and sets direction via **mission, vision, and objectives.**
2. Involves **evaluating and selecting** appropriate strategies at corporate, business, and functional levels.
3. Emphasizes creating a **vision** – must be bold, inspiring, and motivating.
4. Vision demands a **"leap of faith"** and is central to driving organizational commitment.

UNIT 2

PLANNING

STRUCTURE

Types of Planning in Management:

- Strategic Planning
- Tactical Planning
- Operational Planning
- Contingency Planning

Strategic Planning:
The setting of broad, long-range goals by top managers.

Tactical Planning:
The identification of specific, short-range objectives by lower-level managers

Operational Planning:
The setting of work standards and schedules

Contingency Planning:
Backup plans in case primary plans fail

Fundamentals of Planning:

Key Points:

- ✓ **Planning** involves **thoughtful analysis and discussion** before task execution.
- ✓ It includes **detailed preparation** to ensure efficient and timely implementation.
- ✓ Requires an **objective analysis of future needs** to modify current activities and meet goals.
- ✓ Involves **deliberate research and structured actions** to accomplish objectives.
- ✓ **Considers all possibilities** (present and future) connected to goals.
- ✓ Includes **risk assessment** (e.g., losses, defection), and development of methods and procedures.
- ✓ Helps in **prescribing directions**, evolving procedures, and transforming activities for efficiency.

Planning depends on:

- **Finances**, **resources**, **infrastructure**, and **time frame**.
- It also guides **strategic**, **tactical**, and **operational** decisions.

Planning Covers:

- ✓ What is to be done?
- ✓ Where is it to be done?
- ✓ How is it to be done?
- ✓ When is it to be done?
- ✓ Who will execute?

Steps in the Planning Process:

Opportunity Analysis:

- ✓ Analyze and understand the available opportunity.
- ✓ Base business plans on this opportunity by assessing current circumstances and future potential.

Objective Establishment:

- ✓ Define clear objectives before planning strategies.
- ✓ This is the foundational and often political step in planning.

Developing Planning Premises:

- ✓ Set assumptions based on forecasts, policies, and existing plans.
- ✓ Assumptions should be realistic, creative, and regularly updated.

Alternatives Identification:

- ✓ Identify various ways to achieve the objective.
- ✓ Prepare a written list and narrow down based on experience and preliminary evaluations.

Evaluating Alternatives:

- ✓ Analyze strengths and weaknesses of each alternative.
- ✓ Use statistical methods and tools to compare and assess options for effectiveness and feasibility.

Selecting the Best Alternative:

- ✓ Choose the most suitable plan for achieving objectives.
- ✓ Evaluate based on how well the alternative meets goals efficiently.

Formulating Derivative Plan:

- ✓ Create secondary/sub-plans that support the main plan.
- ✓ Include timelines and implementation steps to execute the selected alternative.

2.4 IMPORTANCE OF PLANNING

- Helps Goal Creation
- Provides Direction
- Tackles Uncertainty
- Discards overlapping and wasteful activities
- Promotes Innovative Ideas
- Facilitates Decision Making
- Controlling

Planning is a critical management function that helps organizations achieve their objectives by:

- ✓ **Aiding Goal Creation**: Aligns teams by setting clear goals, forming the basis of all management functions.
- ✓ **Providing Direction**: Guides efforts toward desired outcomes with clear objectives and guidelines.
- ✓ **Tackling Uncertainty**: Reduces risks by anticipating challenges and preparing for future uncertainties.
- ✓ **Reducing Waste**: Minimizes inefficiencies by addressing what, how, why, and when in advance.
- ✓ **Promoting Innovation**: Encourages out-of-the-box ideas to improve operations and competitiveness.
- ✓ **Facilitating Decisions**: Assists managers in making informed decisions by providing a clear framework.
- ✓ **Enhancing Control**: Supports coordination and control, ensuring the plan adapts and the business stays on track.

A SMART goal (Specific, Measurable, Achievable, Realistic, Timely) ensures objectives are clear and attainable within a set timeframe.

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The advantages of planning include:

i. Coordination of Activities: Planning aligns efforts across departments to achieve goals, increasing success rates.

ii. Resource Optimization: Helps managers allocate resources efficiently for maximum return on investment.

iii. Inspirations and Responsibilities: Clarifies goals, motivating individuals to work toward familiar objectives.

iv. Execution Principles: Sets milestones to track progress and guide adjustments when needed.

v. Adaptability: Establishes principles to adapt to changes while identifying individual strengths and variables.

Basic Advantages of Planning:

a) Reduces uncertainty.

b) Focuses on objectives.

c) Enhances control.

d) Encourages creativity and innovation.

e) Addresses challenges and change.

f) Works with the board on destinations.

g) Limits vulnerabilities.

h) Promotes cooperation.

2.6 MANAGEMENT BY OBJECTIVES

The phrase "management by objective" (MBO) was coined by Peter F. Ducker and first appeared in his book "The Practice of Management," which was published in 1954.

Management by Objectives is the term given to the process that is used for goal planning and the establishment of clear parameters for those goals (MBO). The MBO technique, in its most fundamental form, refers to a procedure that involves the management and the employees working together to jointly establish, record, and then monitor the goals for a particular period of time.

Although it is a theoretical framework for management, it has recently been fashionable due to the necessity for management consultants to base their work on the need to manage a business and the goals of that business. The goals of MBO are adapted to match the requirements of today's organisations, who are expanding their work spaces to accommodate their expanding workforces.

MBO process:	Establish goals and desired outcomes for each subordinate in a conference between the management and the concerned subordinate.
	Set performance standards.
	Assess performance achieved against goals set for the employee through frequent performance review meetings between the manager and the subordinate.
	Identify reasons for shortfall and give feed-back for improvement.
	Establish new goals and new strategies for the coming year.

The Management by Objectives (MBO) technique involves five steps:

i. **Set Organizational Goals**: Define the company's mission and vision as the foundation.

ii. **Communicate Goals**: Share the organization's goals and priorities with employees, using the SMART (Specific, Measurable, Acceptable, Realistic, Time-bound) framework.

iii. **Encourage Participation**: Involve staff in setting individual goals aligned with the organization's objectives to foster commitment.

iv. **Monitor Progress**: Track staff performance to ensure alignment with goals, empowering employees and boosting motivation.

v. **Evaluate and Reward**: Assess progress honestly, provide feedback, and reward employees for achievements to reinforce success.

MBO links performance with incentives and rewards to drive organizational success.

The Management by Objectives (MBO) process includes these steps:

- ✓ **Organizational Goal Setting**: Establish overarching goals aligned with the organization's mission, involving managers in setting and evaluating goals efficiently.
- ✓ **Employee Objectives**: Managers collaborate with employees to set individual goals, discussing strategies and expectations through face-to-face conversations.
- ✓ **Monitoring Performance and Progress**: Track progress closely to enhance effectiveness and ensure individual contributions align with organizational goals.
- ✓ **Evaluation of Performance**: Conduct performance reviews with relevant managers to assess progress within the MBO framework.
- ✓ **Feedback**: Provide continuous feedback to employees on their objectives, often through formal evaluations and discussions, to improve outcomes.
- ✓ **Appraisal**: Regularly review staff accomplishments as part of the MBO process to ensure goals are met.

This approach breaks down goals into measurable components for better management and progress tracking.

The limitations of Management by Objectives (MBO) include:

a) Cultural Misalignment: MBO often overlooks the organization's culture and working conditions, especially if managers neglect participation.

b) Overemphasis on Goals: It prioritizes goals over employee growth, pressuring workers to achieve objectives at the expense of development.

c) Focus on Goal Setting: Managers may emphasize goal setting over addressing operational issues.

d) Resource Oversight: MBO doesn't adequately consider resource availability or stakeholder efficiency in goal formulation.

e) Narrow Perspective: Many managers view MBO as the sole solution, ignoring other concerns, which can limit its effectiveness.

f) Overdependence Risks: Relying solely on MBO can lead to issues if the system isn't equipped to handle challenges, discouraging positive impact.

Advantages of MBO:

a) Clarifies goals and plans for achievement.
b) Promotes proactive and disciplined goal pursuit.
c) Helps plan for unforeseen challenges and limitations.
d) Enables contingency planning to overcome obstacles.
e) Ensures measurable goals for monitoring and improvement.
f) Enhances efficiency, conserves resources, and boosts morale.
g) Emphasizes key results for better outcomes.

Disadvantages of MBO:

a) Time-consuming for setting and managing goals.
b) Requires extensive documentation, increasing paperwork.
c) Needs employees to collaborate for success.
d) Can lead to inefficiencies in multi-tasking and creativity.
e) Subordinates may feel demotivated.
f) Lacks flexibility.
g) Can frustrate workers due to rigidity.
h) May lack appreciation for employees' efforts.
i) Often focuses on rewards and sanctions, which can demotivate.

SWOT

Environmental Analysis

Environmental Analysis examines internal and external factors affecting an organization, both quantitatively and qualitatively. External factors highlight opportunities and threats, while internal factors reveal strengths and vulnerabilities. The analysis helps strategic planners predict future trends, conduct operational assessments, set organizational goals, and evaluate the organization's current state and future projections.

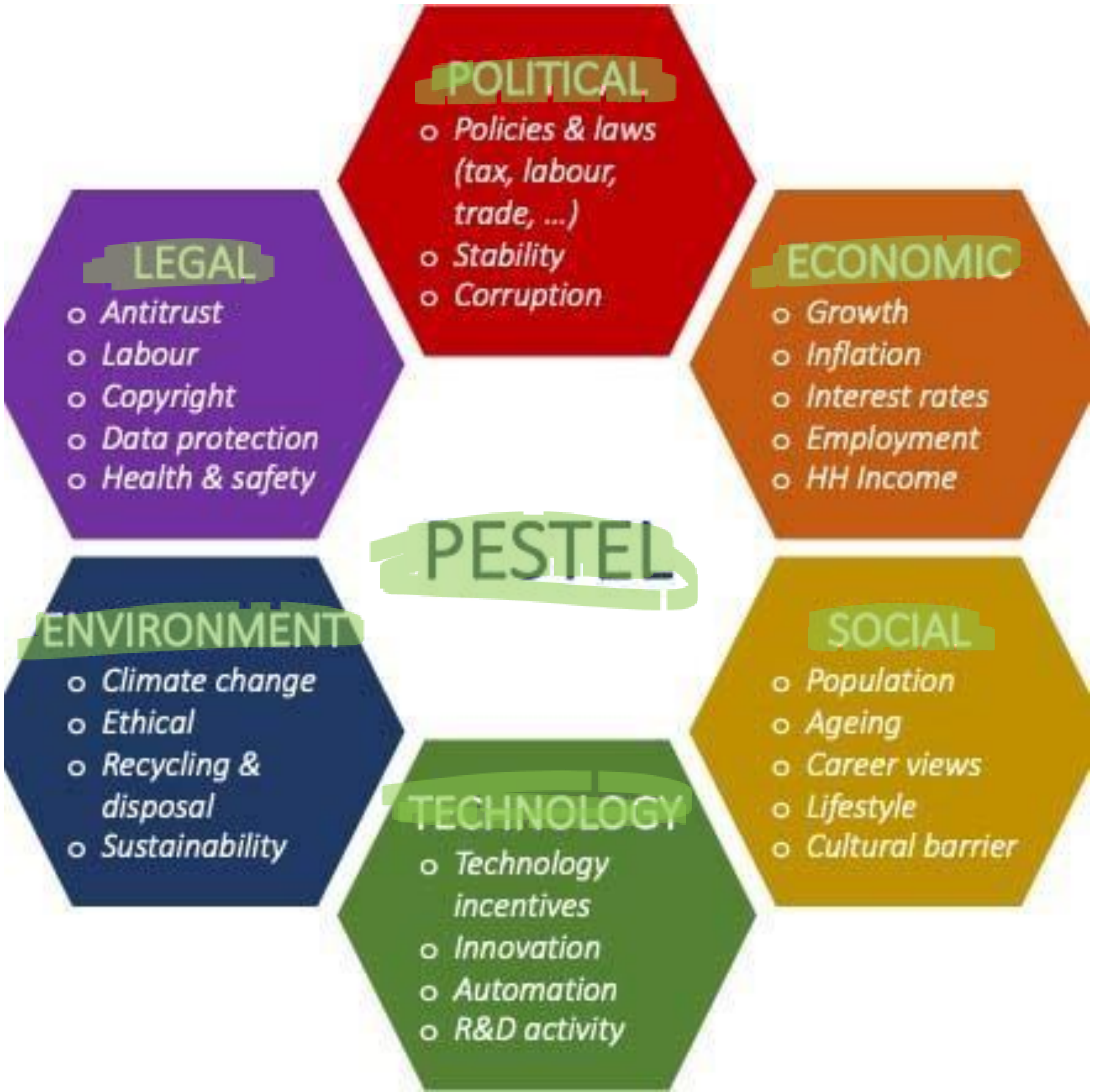
Advantages of Environmental Analysis

a) Supports goal achievement.
b) Identifies and analyzes potential risks.
c) Enhances understanding of the commercial environment.
d) Highlights upcoming risks and opportunities.
e) Aids in predicting potential risks and benefits.

Environmental Analysis Steps

i. Identifying
ii. Scanning
iii. Analyzing
iv. Forecasting

S STRENGTHS	W ~~WEAKNESSES~~	O OPPORTUNITIES	T ~~THREATS~~
• Things your company does well • Qualities that separate you from your competitors • Internal resources such as skilled, knowledgeable staff • Tangible assets such as intellectual property, capital,	• Things your company lacks • Things your competitors do better than you • Resource limitations • Unclear unique selling proposition	• Underserved markets for specific products • Few competitors in your area • Emerging need for your products or services • Press/media coverage of your company	• Emerging competitors • Changing regulatory environment • Negative press/ media coverage • Changing customer attitudes toward your company



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PESTLE Analysis

PESTLE Analysis is a vital tool for developing business strategies by evaluating the external environment's impact on an organization. It assesses six factors:

a) Political
b) Economic
c) Social
d) Technological
e) Legal
f) Environmental

These factors significantly influence business performance, with effects varying over time and potentially impacting credit ratings positively or negatively.

PESTLE Analysis Steps:

1. Identify the relevance of each PESTLE factor to the firm.
2. Gather and categorize information for each factor.
3. Analyze data and draw conclusions.

Advantages of PESTLE Analysis:

a) Cost-effectiveness
b) Easy framework
c) Deep understanding
d) Development alertness
e) Opportunities exploitation

Advantages of PESTLE Analysis:

a) Cost-effectiveness
b) Easy framework
c) Deep understanding
d) Development alertness
e) Opportunities exploitation

PESTLE Factors:

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- ✓ **Political Factors**: Include government stability, banking sector influence, corruption, legislative laws (e.g., labor laws), trade restrictions, tariffs, and political stability, all of which impact business operations.
- ✓ **Economic Factors**: Affect strategy attractiveness through interest rates, inflation, tariffs, economic growth, exchange rates, unemployment, and economic cycles (prosperity or recession), influencing capital access, spending habits, and banking behaviors.
- ✓ **Socio-cultural Factors**: Vary by region and include language, religion, demographics, consumer attitudes (e.g., toward environmentalism), and cultural influences on banking preferences, affecting how people interact with financial services.
- ✓ **Technological Factors**: Driven by the Internet, these include innovations in product distribution, new services, market reach, production standardization, and cost reduction, significantly altering business operations and customer access.

SWOT Analysis Overview:

- ✓ **Strengths**: Identify your strong points by reflecting on tasks you excelled at, where you surpassed expectations, and areas where you outperform others, earning recognition.
- ✓ **Weaknesses**: Determine areas needing improvement by considering tasks you find challenging, lack confidence in, or require extra effort to achieve.
- ✓ **Opportunities**: Recognize factors that can give your organization a competitive edge, focusing on situational improvements that increase the likelihood of favorable outcomes, even if minor.
- ✓ **Threats**: Identify potential obstacles or activities that could negatively impact the organization, requiring strategies to overcome them to achieve targets.

SWOT analysis helps evaluate internal (strengths, weaknesses) and external (opportunities, threats) factors to improve organizational performance.

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UNIT 3

ORGANISING

STRUCTURE

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Importance of Organisation

Organizing ensures departments communicate and coordinate effectively through structured relationships, connecting functions and participants to work toward shared goals. Key factors include:

i. Efficiency in Administration: Organizing consolidates related tasks, fostering coordination among departments for better management and control.

ii. Resource Optimization: Assigns roles that fit employees, reducing delays, misunderstandings, and duplicated efforts.

iii. Gaining Expertise: Divides labor efficiently, allowing quicker task completion while leveraging experience.

iv. Promoting Effective Communication: Establishes structured channels for collaboration across departments and functions.

v. Creating Transparency: Clearly defines tasks, duties, and responsibilities, empowering employees and enhancing clarity.

vi. Expansion and Development: Optimizes resources and labor division, enabling the organization to grow and expand effectively.

3.3 STAGES IN ORGANISING PROCESS

There are five stages in the organising process, which are as follows:

i. Defining and reviewing the plans and objectives of the company.
ii. Determining the work activities needed to accomplish the objectives
iii. Categorising and grouping essential work activities into manageable units
iv. Assigning activities and delegating authority
v. Designing a hierarchy of relationships

Steps in the Organizing Process:

1. **Review Plans and Objectives**: Managers compile specific tasks to achieve organizational goals, reviewing and updating plans as needed.
2. **Determine Work Activities**: Identify tasks required to meet objectives through detailed analysis, beyond just listing them.
3. **Categorize and Group Activities**: Group tasks into manageable units using one of four departmentalization models: functional, geographic, product, or customer.
4. **Assigning and Delegating Authority**: Managers distribute tasks and responsibilities to employees, granting them the necessary authority to perform their duties effectively.
5. **Designing a Hierarchy of Relationships:** Managers analyze and map out vertical (decision-making) and horizontal (coordinating) relationships within the organization, often using organizational charts to define departmental connections.

Principles of Organising

Organizing principles are fundamental truths guiding the management function, applicable across situations. They ensure activities are assigned, coordinated, and executed efficiently. Each manager is responsible for organizing tasks within units, aligning with these principles.

Essential Principles of Organising:

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- ✓ Principle of objectives
- ✓ Principle of specialization
- ✓ Principle of coordination
- ✓ Principle of authority
- ✓ Principle of responsibility
- ✓ Principle of span of control
- ✓ Principle of balance
- ✓ Principle of continuity
- ✓ Principle of unity of direction
- ✓ Principle of unity of command
- ✓ Principle of simplicity
- ✓ Principle of efficiency
- ✓ Scalar principle

Types of Organisations

Centralised Organisation: A single individual makes key decisions (e.g., resource allocation, strategic direction), common in small firms.

Decentralised Organisation: Distributes decision-making, making it more responsive to local challenges but potentially discouraging employee participation if not managed well.

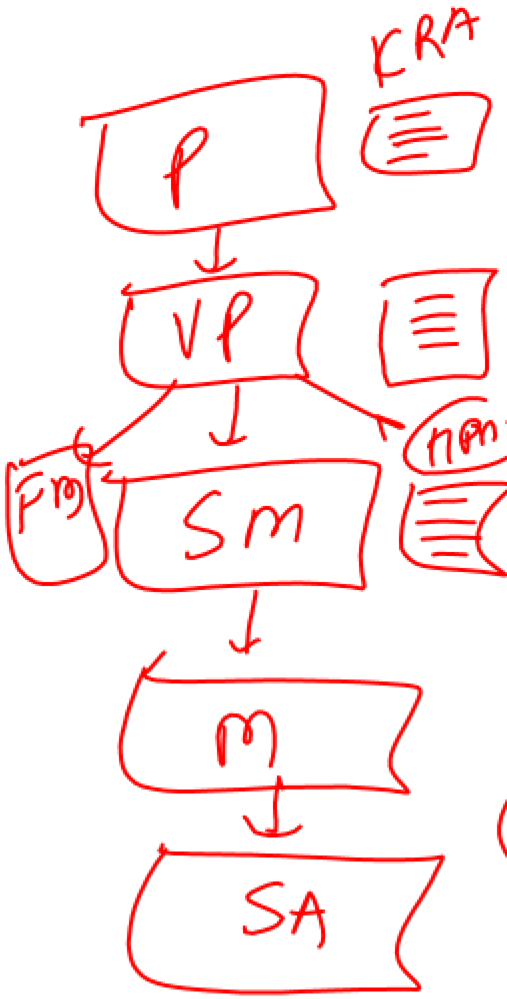
Centralised and Decentralised Organisation

Advantages of Decentralised Organisation:

- ✓ **Faster Decision-Making:** Enables timely decisions, helping businesses stay competitive by quickly adapting to strategic changes.
- ✓ **Expansion Capability:** Supports growth by allowing investment in new avenues for products and services.
- ✓ **Skilled Management:** Encourages training skilled workers to make decisions in the organization's best interest.
- ✓ **Improved Morale:** Boosts employee morale through recruitment, training, and retention, linking compensation to responsibility and learning opportunities.
- ✓ **Effective Utilization of Lower Management:** Empowers lower and middle managers to handle significant responsibilities, enhancing their skills and knowledge across fields.

Disadvantages of Decentralised Organisation:

- ✓ **Coordination Challenges:** Decision-making delegation can hinder unified efforts, making it hard to achieve consistent goals.
- ✓ **Increased Administrative Costs:** Duplication of efforts across divisions raises costs and inefficiency.
- ✓ **Inconsistency in Operations:** Autonomy in divisions may lead to inconsistent practices, reducing productivity and coordination.
- ✓ **Self-Centered Functioning:** Divisions may prioritize their success over the organization's overall performance, leading to self-centered behavior.



Organisation Charts Overview:

Organisation charts are divided into two main types:

(i) Master Charts: Display the entire formal structure of the organization.

(ii) Supplementary Charts: Provide a detailed view of linkages, authorities, and responsibilities within specific departments or areas.

Types of Organisation Charts:

(i) Vertical or Top-Down Chart: Shows the hierarchy as a pyramid, with the highest-ranking position at the top and lower ranks descending below.

(ii) Horizontal or Left-to-Right Chart: Displays the organization levels from left to right, with authority decreasing as you move right.

Benefits:

- ✓ Clear standard reading order (left to right).
- ✓ Simplifies understanding of formal authority and responsibility distribution.
- ✓ Indicates the length of the authority chain.

(iii) **Circular Chart**: Represents jobs or functions in concentric circles, with higher roles at the center and equal-level roles equidistant from the center, connected by lines to show formal power. Its main drawback is that it often causes confusion.

3.9.1 Types of Organisational Culture

There are primarily four distinct cultures that can be found within an organisation. These are as follows:

1) **The Clan Culture:** This culture has its foundation in working together. Members have a lot in common with one another and have the perception that they are part of a large family that is very involved in activities. The organisation is held together by its commitments and traditions, and leadership takes the form of mentoring for its members.

2) **The Adhocracy Culture:** This culture is characterised by a high level of energy and inventiveness. It is expected of leaders to be innovative and entrepreneurial, and employees are actively encouraged to take calculated risks. Experimentation, with an emphasis on individual ingenuity and freedom, is the primary means by which the organisation maintains its cohesion.

3) **The Culture of the Market:** This culture is founded upon the competitive nature of the market and the pursuit of tangible success. The focus is on achieving the goals, and the leaders are known to be strict and demanding. The organisation's members are all working toward the same objective, which is to achieve an edge over all of their competitors. Market share and profitability are the primary factors that determine value.

4) **The Hierarchy Culture:** This culture is characterised by its emphasis on hierarchy and control. The atmosphere at work is very formal, and there are stringent protocols established by the institution to provide direction. A culture that places an emphasis on productivity and predictability is conducive to leadership because it requires organised coordination and monitoring.

3.10 AUTHORITY AND RESPONSIBILITY

In the context of a specific job, function, or situation, the term "authority" refers to the formal, institutional, or legal power that gives the holder of that job, function, or position the ability to successfully carry out the responsibilities associated with that job, function, or position.

A subordinate's duty is known as responsibility, and it is delegated to them by his or her superior.

Authority:

a) A superior has the legal right to issue commands to those under his or her supervision.
b) The position of the boss within the organisation is the primary factor that, in most cases, determines who has authority.
c) A superior can give his subordinate the authority to do something under his supervision.
d) The chain of command moves from superior to subordinate in a downward direction.
e) Authority can be defined as the legitimate power that an individual or group possesses over other individuals.

Responsibility:

a) A subordinate is obliged to his or her superior authority to complete the tasks that have been delegated to them.
b) Responsibility is an outcome of the superior-subordinate relationship, in which the subordinate accepts the obligation to carry out the responsibilities that have been delegated to him.
c) The subordinate cannot delegate this responsibility to anyone else.
d) The chain of responsibility moves from the subordinate to the superior position in an ascending order.
e) It means making a moral commitment to complete the work that has been allotted.

3.12 ORGANISATIONAL CHANGE

The term "organisational change" refers to the actions that are taken by a company or business to modify a significant aspect of their organisation. These aspects may include the company's culture, the underlying technologies or infrastructure that it makes use of to function, or their internal procedures.

The transition of an organisation from one state to another is what is meant by the term "organisational change." Alterations to an organisation can take on a variety of forms. Changes could be made to the organisation's structure, strategy, rules, processes, technology, or culture as part of this process.

The process of utilising change to bring about a successful resolution is referred to as organisational change management, and it typically involves three primary steps: planning, implementation, and follow-up.

The need for organisational transformation is driven by a variety of variables. The following are some of the most typical ones that managers are confronted with:

a) New management at the helm of the business entity or in other areas or departments within the organisation
b) Alterations to the organisational structure of teams
c) The introduction of innovative technologies
d) The adoption of novel business models

There are three primary categories of organisational changes, which are as follows:

1. **Developmental Change:**
   Any modification to an organisation that results in an improvement to the processes and procedures that have already been established.
2. **Changes during Transition:**
   This type of change moves an organisation away from its existing state and into a new state to address a problem, such as implementing a merger and acquisition or automating a task or process. Examples of this type of change include merging and acquiring other companies or automating a task or process.
3. **Transformational changes:**
   Such changes refer to the transformation of an organisation's culture and way of doing business that is both drastic and fundamental in nature. When undergoing transformative change, it is possible that the final effect will not be known. For instance, a company might branch out into whole new product categories or market niches.

Staffing

Staffing is a critical management function that involves recruiting, selecting, training, developing, compensating, and maintaining a workforce to achieve organizational goals. It ensures the right people are in the right roles at the right time, aligning human resources with the organization's needs.

Importance of Staffing:

- ✓ Places the right individuals in suitable roles to achieve objectives.
- ✓ Enhances organizational performance through skilled personnel.
- ✓ Supports efficient resource use by matching employee capabilities to tasks.
- ✓ Improves employee morale and job satisfaction through proper placement and development.
- ✓ Ensures continuity by filling vacant positions and planning for future needs.
- ✓ Aligns staffing with organizational goals for overall success.
- ✓ Staffing is an ongoing process that adapts to changes in the organization's requirements.

3.12.2 Resistance to Change

The act of rejecting or battling against modifications or changes that affect the status quo is what we mean when we talk about change resistance. This resistance may show itself in a single worker or permeate the entire workplace.

A lack of readiness to adjust one's behaviour in response to changing conditions can be defined as resistance to change. It can be done in an indirect or direct manner, organised or on a personal level. Employees may come to the realisation that they do not like or desire change and protest it publicly, which can be a very disruptive action.

There is a clear indication of resistance to change in functions such as:

- Denunciation or Fault Finding
- Nit-picking over tiny details
- Offensive or Insulting remarks
- Absence in meetings
- Dishonouring commitments
- Continuous arguments
- Disruptive behaviour

LEWIN'S CHANGE MODEL

Lewin's Three Stage Change Process – Practical Steps

Unfreeze

- Determines what needs to change
- Ensure there is strong support from management
- Create the need for change
- Manage and understand the doubts and concerns

change

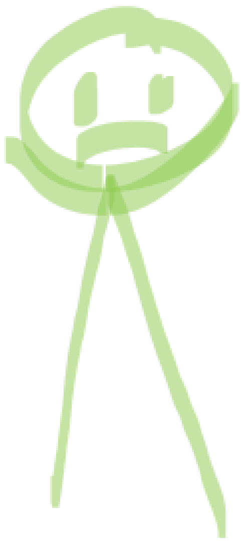
- Communicate often
- Dispel rumors
- Empower action
- Involve people in the process

refreeze

- Anchor the changes into the culture
- Develop ways to sustain the change
- Provide support and training
- Celebrate successes

ADKAR model is created by Prosci founder Jeff Hiatt.

A	AWARENESS OF THE NEED FOR CHANGE
D	DESIRE TO SUPPORT THE CHANGE
K	KNOWLEDGE OF HOW TO CHANGE
A	ABILITY TO DEMONSTRATE SKILLS & BEHAVIORS
R	REINFORCEMENT TO MAKE THE CHANGE STICK



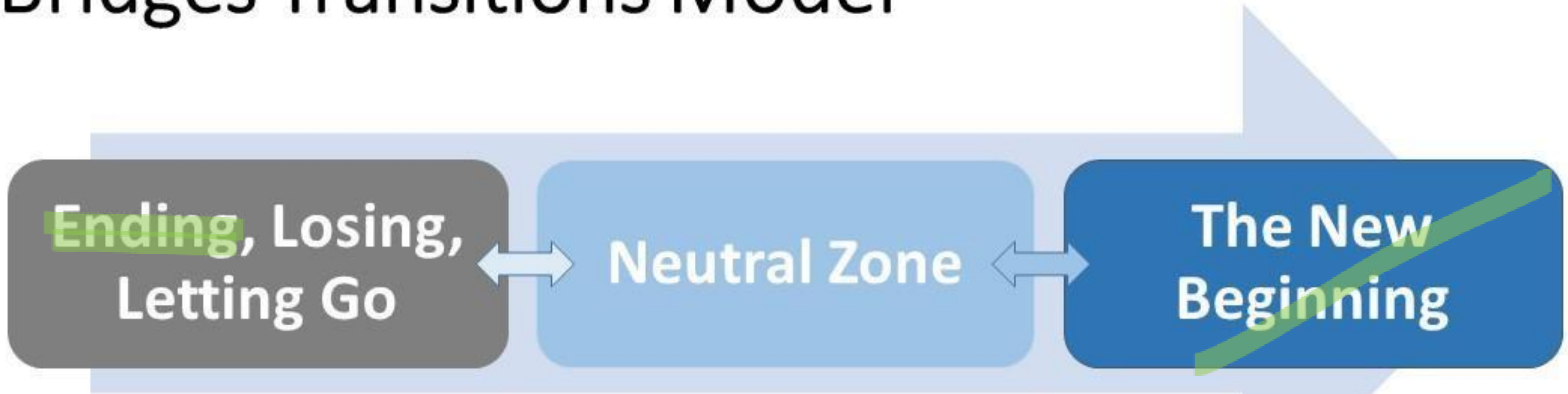
Bridges' Transition Model: This model is developed by **William Bridges'.**

It focuses on how people adjust to change. This model features 3 stages:

- Stage for letting go
- Stage of uncertainty and confusion
- Stage for acceptance.

Bridges' model is sometimes compared to the Kübler-Ross five stages of grief (denial, anger, bargaining, depression and acceptance).

Bridges Transitions Model



- Resistance to the Change Initiative
- Uncertainty and Fear
- Emotional Upheaval

- Resentment towards the Change ~~Initiative~~
- Low Morale and Low Productivity
- Anxiety about their Role or Identity
- Skepticism about the Change Initiative

- Acceptance - People have Begun to Embrace the Change Initiative
- High Energy
- Openness to Learning
- Renewed Commitment to the Group or their Role

Kotter's 8-Step Process for Leading Change: Harvard University professor John Kotter's model has eight steps for managing change.

Dr. John Kotter, this model provides a structured approach for successfully implementing organizational change. It emphasizes **creating urgency, building momentum, and sustaining change** over time.

Kotter's 8-Step Process for Leading Change: Harvard University professor John Kotter's model has eight steps for managing change. They are as follows:

- Step 1: Create Urgency
- Step 2: Form a Powerful Coalition
- Step 3: Create a Vision for Change
- Step 4: Communicate the Vision
- Step 5: Remove Obstacles
- Step 6: Create Short-Term Wins
- Step 7: Build on the Change
- Step 8: Anchor the Changes in Corporate Culture.

3.13.1 Conflict Management

The process of resolving conflicts through conflict management aims to achieve a balance between minimising the potential for negative outcomes and maximising the potential for positive outcomes. This essential management ability entails negotiating, thinking creatively, and using a range of different strategies according to the context of the interaction.

The goal of conflict management is to improve learning and group outcomes, such as an organization's efficiency or performance in a given environment.

Some Examples of Skills needed for conflict management are given below:

- Clear and effective communication- Communication skills are one of the most important skills you need to have for conflict management because they are the key to successfully resolving conflicts.
- Listening attentively
- Engaging in the practice of empathy.
- Problem solving.
- Positive attitude.
- Setting the priority levels.
- Being patient.
- Understanding others' body language.

UNIT 4

STAFFING

STRUCTURE

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Key Components of Staffing:

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Human Resource Planning:

- Identifying the staffing needs of the organization based on future goals, strategies, and workload.
- Assessing both the current workforce and future requirements to ensure the right number of employees with the right skills.

Recruitment:

- The process of attracting potential candidates to apply for available positions.
- Recruitment can be internal (promotions or transfers) or external (advertisements, job fairs, recruitment agencies).
- A well-designed recruitment process ensures that the organization attracts a diverse and qualified pool of candidates.

Selection:

- The process of choosing the most suitable candidates from the pool of applicants.
- Selection typically involves interviews, assessments, background checks, reference checks, and sometimes skills testing.
- The goal is to select individuals who not only possess the required skills but also fit the organizational culture.

Placement:

- Assigning the selected candidates to specific jobs or departments.
- Effective placement ensures that employees are in roles where they can perform optimally and contribute to the organization's success.

Training and Development:

- Providing employees with the necessary skills and knowledge to perform their jobs effectively.
- Training can include on-the-job learning, workshops, e-learning programs, or formal educational opportunities.
- Development focuses on enhancing employees' long-term capabilities, preparing them for more advanced roles and responsibilities.

Performance Appraisal:

- Regularly assessing employees' performance to ensure they are meeting job expectations.
- Performance appraisals are used to provide feedback, set goals, and identify areas for improvement.
- This process often ties into promotions, pay raises, and career development.

Compensation and Benefits:

- ❖ Ensuring that employees are fairly compensated for their work through salaries, wages, bonuses, and benefits packages.
- ❖ Competitive compensation strategies help in attracting and retaining top talent.

Employee Retention:

- ❖ Developing strategies to retain skilled and talented employees, including fostering a positive work environment, offering career growth opportunities, and providing incentives.

4.13.2 Types of Performance Appraisals

Most performance reviews are conducted from the top down, which means that managers evaluate their employees without receiving any feedback from those being evaluated. However, there are also several other types:

- **Self-evaluation** is when individual employees evaluate their own behaviour and performance on the job.
- **Peer assessment** is a rating of an individual's performance given by their workgroup or other co-workers.
- **360-degree feedback** assessment incorporates comments from the participant, as well as those of their supervisor and peers.
- **Negotiated appraisal** is a more recent trend that involves a mediator and aims to minimise the adversarial aspect of performance reviews by allowing the subject to present first. This is done to moderate the impact of performance evaluations on employees. Also places an emphasis on the positive aspects of the individual before offering any constructive criticism. When there are disagreements between subordinates and supervisors, this structure is often helpful in mediating those disagreements.

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(A) Past-Oriented Methods

1. **Rating Scales:** Rating scales consists of several numerical scales representing job related performance criterions such as dependability, initiative, output, attendance, attitude, etc. Each scale ranges from excellent to poor. The total numerical scores are computed and final conclusions are derived.
   Advantages – Adaptability, easy to use, low cost, every type of job can be evaluated, large number of employees covered, no formal training required.
   Disadvantages – Rater's biases.
2. **Trait Analysis:** Under this method, checklist of statements of traits of employee in the form of Yes or No based questions is prepared. Here the rater only does the reporting or checking and HR department does the actual evaluation.
   Advantages – economy, ease of administration, limited training required, standardization.
   Disadvantages – Raters biases, use of improper weights by HR, does not allow rater to give relative ratings.
3. **Forced Choice Method:** The series of statements arranged in the blocks of two or more are given and the rater indicates which statement is true or false. The rater is forced to make a choice. HR department does actual assessment.
   Advantages – Absence of personal biases because of forced choice.
   Disadvantages – Statements may be wrongly framed.
4. **Forced Distribution Method:** Here employees are clustered around a high point on a rating scale. Rater is compelled to distribute the employees on all points on the scale. It is assumed that the performance is conformed to normal distribution. Assumption of normal distribution, unrealistic, errors of central tendency may occur.
5. **Critical Incidents Method:** The approach is focused on certain critical behaviours of employees that makes all the difference in the performance. Supervisors as and when they occur record such incidents.
   Advantages – Evaluations are based on actual job behaviours, ratings are supported by descriptions, feedback is easy, reduces recent biases, chances of subordinate improvement are high.
   Disadvantages – Negative incidents can be prioritized, forgetting the positive ones, overly close supervision.
6. **Confidential Records:** Mostly used by government departments, and in older organisations where the concept of self-assessment is not encouraged. Here the report is given in the form of Annual Confidential Report (ACR) and may record ratings with respect to following items; attendance, self-expression, team work, leadership, initiative, technical ability, reasoning ability, originality and resourcefulness, etc. The system is highly secretive and confidential. Feedback to the assessee is given only in case of an adverse entry. Rather negative in impact as the ratings are highly subjective and can be manipulated to suit an occasion.
7. **Pen portrait:** The assessor pictures in writing about the assessee, regarding his qualities and performance as well as his potential. Armies use this method in evaluating cadets.

4.14.2 Types of Human Resource Development

The process of developing an organization's human resources typically starts as soon as an employee is hired and continues for as long as that employee is employed by the organisation.

HRD can take many forms, such as on-the-job training or work shadowing, classroom education or education obtained online, opportunities for professional development and growth, and training to ensure compliance with laws and regulations.

i. Learning the facets of a work while actually performing the tasks associated with that employment is what is meant by **"on-the-job training."** On-the-job training may be required for a worker even though they are familiar with the fundamental requirements of their position. This training may cover specifics such as which forms to use, where materials are housed, and how to access the computer systems.

ii. Another related method is **"work shadowing"**, in which an employee watches another employee perform the duties of their job in order to acquire the necessary abilities.

Another type of growth is **intellectual or professional growth**, which can take the form of attending classes at a university or certification programmes, as well as job-specific trainings and seminars that focus on how to perform one's job more effectively.

A significant amount of capital is put out by a variety of businesses in the form of substantial investments in the form of training and development opportunities for their staff members. Even though a significant portion of this training is now offered virtually, for example, through webinars and online courses due to the proliferation of online learning, it is still very common practice to conduct trainings in person or to attend training seminars or conferences with other professionals in the field.

Challenges in Staffing:

- **Attracting Talent:** The process of finding skilled candidates can be difficult, particularly in highly competitive industries.
- **Retention:** Keeping top talent is a constant challenge, requiring a combination of competitive pay, development opportunities, and positive workplace culture.
- **Skill Gaps:** Organizations may struggle to find candidates with the necessary skills and experience, particularly in specialized fields.
- **Diversity and Inclusion:** Building a diverse workforce that reflects different perspectives and backgrounds while maintaining organizational harmony.

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UNIT 5

DIRECTING

STRUCTURE

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1
Supervision
2
Motivation
3
Communication
4
Leadership

5.2 CHARACTERISTICS OF DIRECTING

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The following is a list of the primary characteristics of the process of directing:

1) **The initiator of action:**
   In order to fulfil their responsibilities inside the organisation, managers are responsible for functions such as planning, staffing, organising, and controlling, in addition to guiding. While other verbs prepare the ground for action, "directing" actually gets things moving.
2) **All-encompassing function:**
   Direction is present at every level of an organisation when there is a hierarchy of superiors and subordinates. This means that guidance is always present. Every manager is responsible for supplying his staff with direction and inspiration.
3) **Constantly occurring activity:**
   It is considered a continuous function since it continues even after new managers or employees have been hired or removed from their positions within the firm.
4) **Descending order of hierarchical structure:**
   The process of guiding flows down from higher levels of management to lower levels of management. Every manager is responsible for performing this role for his or her own immediate subordinate.
5) **The human factor:**
   As a result of the fact that every worker is unique and responds in a manner that is specific to the circumstances in which they find themselves, it is essential for managers to handle problems in an appropriate manner. Therefore, directing is a crucial role since it ensures that the work is completed by the employees, and contributes to the expansion of the firm.

5.5 LEADERSHIP

The term "leadership" refers to both a set of behaviours and a set of attributes that can be acquired through training and development respectively. Leadership is the process of inspiring other people to work toward a common goal and organising their resources to make that objective a reality.

It has been stated by Keith Davis that "The capacity to convince other people to eagerly pursue predetermined goals is an essential leadership skill. The human element is what ultimately holds a group together and drives its members to achieve their objectives."

The ability to mould the actions of others is essential to effective leadership. It can also be seen as the capacity to exert influence over a group in order to bring about the desired outcome. It is necessary to have leaders in order to generate visions of the future and to motivate people of an organisation to accomplish those ambitions.

5.5.1 Traits Attributable to Effective Leaders

a) It is a procedure involving multiple people in which a manager influences and directs employees toward the accomplishment of predetermined objectives.

b) It is a reference to some of the characteristics that are inherent in a person, such as their intelligence, maturity level, and personality.

c) It is a procedure that involves more than one person interacting with each other and combining their efforts.

d) A leader is engaging in the activity of attempting to shape the behaviour of the group in order to facilitate the accomplishment of the company's aim.

e) Leadership is dependent on one's position. There is no single model of leadership that is superior to all others. It is entirely dependent on how the circumstance is managed.

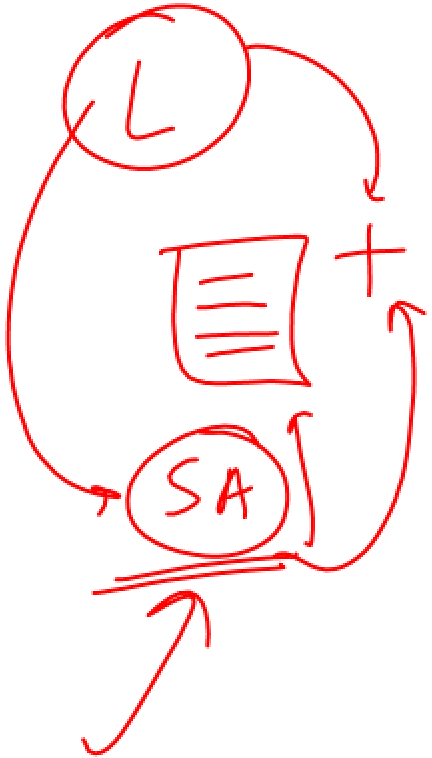
Importance / need of leadership

- Guidance and direction
- Motivation and Inspiration
- Building a positive work culture
- Effective Decision-making
- Conflict resolution
- Fostering Innovation and change
- Developing future leaders
- Enhancing employee engagement
- Ensuring organizational alignment
- Adaptability and reliance

Kurt Lewin’s Model

Lewin’s Leadership Styles

Lewin’s Leadership Styles



Authoritarian (Autocratic)	Participative (Democratic)	Delegative (Laissez-Faire)
Direct and control all activities without meaningful participation by other members of the team	Encourage group member to participate, but retain the final say over the decision-making process	Give little to now guidance to group members

5.5.5.3 *Delegative Leadership*

Delegative leadership is a representative leadership style that focuses on delegating initiative to team members and the style is also known as "laissez-faire leadership." This strategy has the potential to be successful provided the members of the team are knowledgeable, willing to accept responsibility, and like the opportunity to work on their own. Despite this, friction among the members of the team might cause the group to break apart and go in a different direction, which can result in a lack of inspiration and low morale.

Advantages of the delegative leadership style:

The benefits of adopting a leadership style based on delegation are as follows:

a) Employees with more experience are eligible for perks that are determined by their level of experience and credentials.
b) The originality of the concepts and the inventiveness are very much appreciated.
c) A productive working atmosphere that is the result of leadership that emphasises delegation.

Disadvantages of the delegative leadership style:

The following are some disadvantages of adopting a delegative style of leadership:

a) There is a lack of clarity regarding command accountability.
b) The representative leadership struggled to adjust to the changes that were occurring.

5.5.5.4 *Transactional Leadership*

Transactions between a leader and his followers, including incentives, admonition, and other commutations, are utilised by the transactional leadership model to accomplish the goal of getting the work done. The leader makes sure that everyone is aware of the objectives, and everyone on the team is aware of how they will be rewarded for meeting the requirements. This type of giving and taking is more concerned with adhering to existing routines and procedures in an accomplished manner, as opposed to creating any radical changes inside an organisation.

Advantages of the transactional leadership style:

Transactional leadership has a number of advantages, including the following:

a) Time-bound, measurable, and detailed objectives that are within the employees' reach, which have been developed by the leaders.
b) Enhanced levels of motivation and output from staff members.
c) Transactional leadership can oust chaos in the chain of command or at least bring it to a manageable level.
d) The utilisation of this model results in the production of a system that is simple for managers to put into action and straightforward for workers to adhere to.
e) Employees have the ability to choose their own reward system.

Disadvantages of the transactional leadership style:

The following is a list of disadvantages associated with the transactional leadership style:

a) There is a possibility of inhibiting inventiveness and creativeness.
b) Having empathy does not add any value.
c) It fosters the development of more followers than leaders among the workforce.

5.5.5.1 Authoritarian Leadership

A leader has the ability to set results and enforce expectations through the use of authoritarian leadership methods. It's possible to have success with a one-man show in circumstances where one leader is the most knowledgeable member of the team. Creativity would suffer as a result of limited input from the team if this method is implemented, despite the fact that it is effective in a short period of time. Leadership methods based on authoritarianism are utilised whenever the members of a team require guidance.

Advantages of the authoritarian leadership style:

The authoritarian leadership style has a number of benefits, including the following:

a. It is possible to cut down on the amount of time needed to reach an important conclusion.
b. It is possible to clear the command chain and punctuate.
c. The amount of repetition that occurs during the execution of the plans can be reduced.
d. Implementing an authoritarian paradigm of leadership lead to the production of consistent results.

Disadvantages of the authoritarian leadership style:

The following are some of the drawbacks of adopting an authoritarian style of leadership:

a. Management style that is overly authoritarian might provoke discontent among workers.
b. By utilising this paradigm, you run the risk of stifling the originality and innovation of your workforce.
c. It is detrimental to the coordination and cooperation of the group.
d. The amount of input from the group stands severely cut back.
e. The utilisation of this model significantly contributes to an increase in the employee turnover rate.

5.5.5.2 Participative Leadership

The democratic ideal can be traced back to the origins of the participative leadership style. The most important thing is to have everyone on the team involved in the decision-making process. Therefore, members of the team feel satiated and encouraged to contribute to the cause. In most cases, the leader has the final say when it comes to the decision-making process. If members of a group continue to have divergent opinions, however, it is possible that reaching a decision will take more time.

Advantages of the participative leadership style:

Participative leadership has many benefits, including the following:

a. The inspiration of workers and the gratification they got from their jobs rose.
b. It allows for a more efficient utilisation of the employees' creative potential.
c. The use of participative leadership approaches assists in the development of powerful teams.
d. It is possible to achieve high levels of productivity.

Disadvantages of the authoritarian leadership style:

The following are some of the drawbacks of adopting an authoritarian style of leadership:

a. The process of making decisions takes some time.
b. Leaders are more inclined to apologise to their employees than employees themselves.
c. There would on occasion be problems with communication.
d. Because of the openness with which information is shared, potential security problems may emerge.
e. If staff lack the necessary skills, poor decisions may be made.

Transactional vs. Transformational Leadership

Transactional Leaders

occur when followers are moved to complete their roles as agreed with a leader in exchange for a reward.

- **Focus on goals**
- **Use rewards and punishments for motivation**
- **Are reactive in nature**

Transformational Leaders

move followers to awareness about what is important, and away from own self-interests.

- **Focus on vision**
- **Use charisma and enthusiasm for motivation**
- **Are proactive in nature**

Aspect	Transformational Leadership	Transactional Leadership
Focus	Inspiring and motivating followers	Managing through rewards and penalties
Approach	Visionary and change-oriented	Routine and structured
Follower Engagement	High involvement and commitment	Compliance and following directives
Innovation	Encourages creativity and innovation	Maintains status quo
Personal Attention	Individualized consideration	Uniform application of rewards/punishments

Theories of Motivation

- Theories of Motivation
  - Content Theories
    - Maslow's Hierarchy of Needs
    - Herzberg's Two Factor Theory
    - McClelland's Three Needs Theory
    - McGregor's Theory X and Theory Y
    - Alderfer's ERG Theory
    - Mayo's Motivation Theory
  - Process Theories
    - Adam's Equity Theory
    - Vroom's Expectancy Theory
    - Taylor's Motivation Theory
    - Bandura's Self-Efficacy Theory
    - Skinner's Reinforcement Theory
    - Locke's Goal Setting Theory

A. Content Theories

- ✓ Content theories focus on what motivates individuals by identifying specific factors that motivate people.
- ✓ These theories are concerned with the internal factors that energise and direct human behaviour.

B. Process Theories

- ✓ Process theories focus on how motivation occurs and the processes by which various factors interact to produce motivation.
- ✓ These theories examine the thought processes that influence behaviour.

Maslow's Hierarchy of Needs

Physiological Needs

- These are the basic physical requirements for human survival, such as food, water, warmth, and rest. Without these fundamental needs, the human body cannot function properly.

Safety Needs

- Once physiological needs are met, the need for security and safety becomes prominent. This includes personal security, financial security, health and well-being, and safety against accidents and illness.

Love and Belongingness Needs

- After safety needs are fulfilled, social needs become important. These involve emotional relationships such as friendships, romantic attachments, family, and social connections. Humans have a desire to belong and be accepted by various social groups.

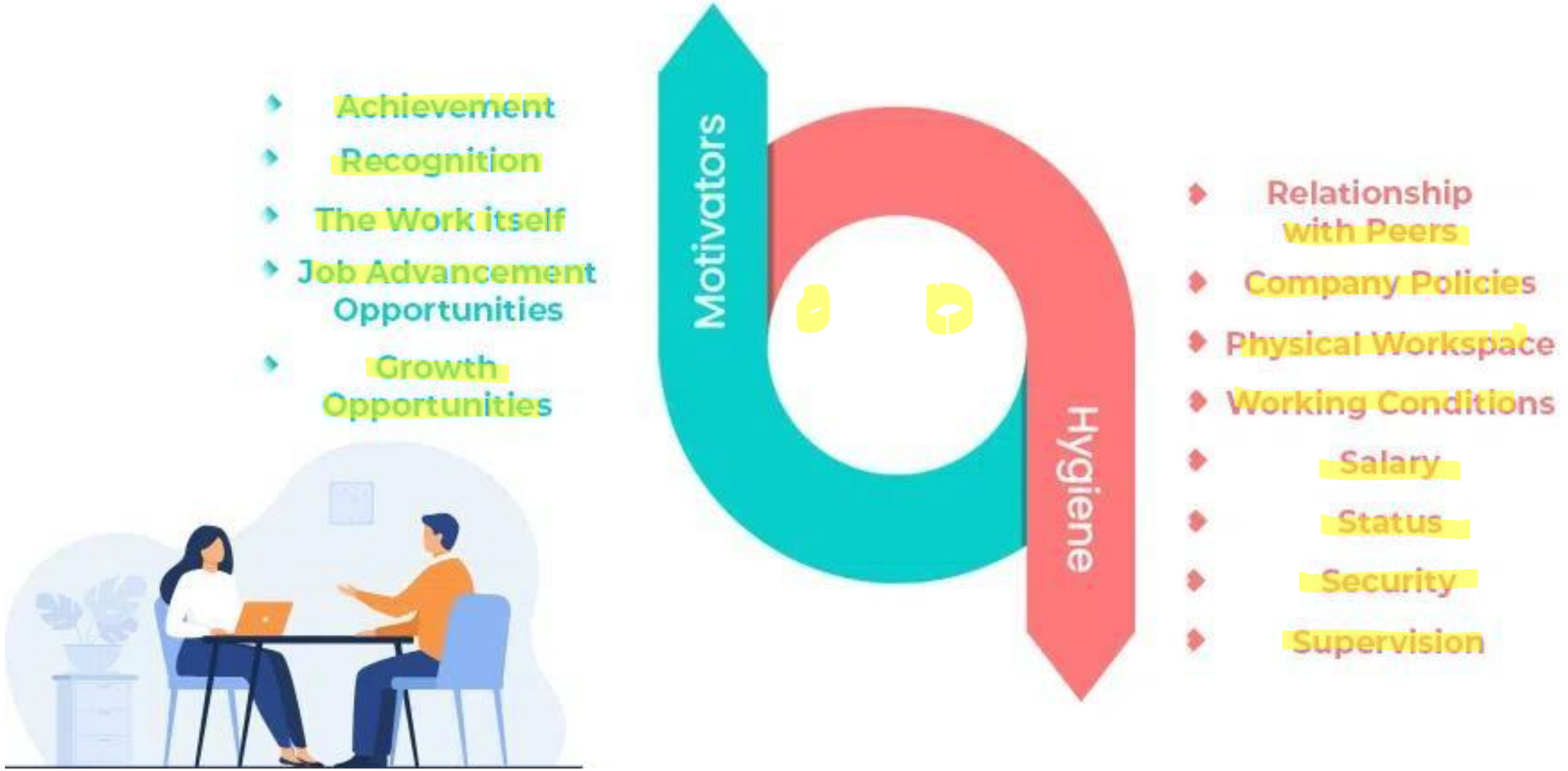
Esteem Needs

- This level represents the need for self-esteem and respect. It includes feelings of self-worth, accomplishment, and recognition. Esteem needs can be classified into two categories: (a) esteem for oneself (dignity, achievement, mastery) and (b) the desire for reputation or respect from others (status, prestige).

Self-Actualization Needs

- This is the highest level of Maslow's hierarchy. Self-actualization is the realisation of an individual's potential, self-fulfilment, seeking personal growth, and peak experiences. It is the desire to become everything one is capable of becoming.

Herzberg Theory of Motivation



- **Herzberg's Two-Factor Theory,** also known as the Motivation-Hygiene Theory, was developed by psychologist Frederick Herzberg in the 1950s.

- This theory suggests that **job satisfaction and dissatisfaction arise from two different** sets of factors – hygiene factors and motivators.

Hygiene Factors

Hygiene factors are extrinsic elements of the job that can lead to dissatisfaction if they are absent or inadequate. However, their presence does not necessarily increase job satisfaction. They are related to the environment and conditions of work.

Examples:

- ✓ **Salary**
- ✓ **Company policies**
- ✓ **Supervisory practices**
- ✓ **Working conditions**
- ✓ **Job security**
- ✓ **Interpersonal relationships**

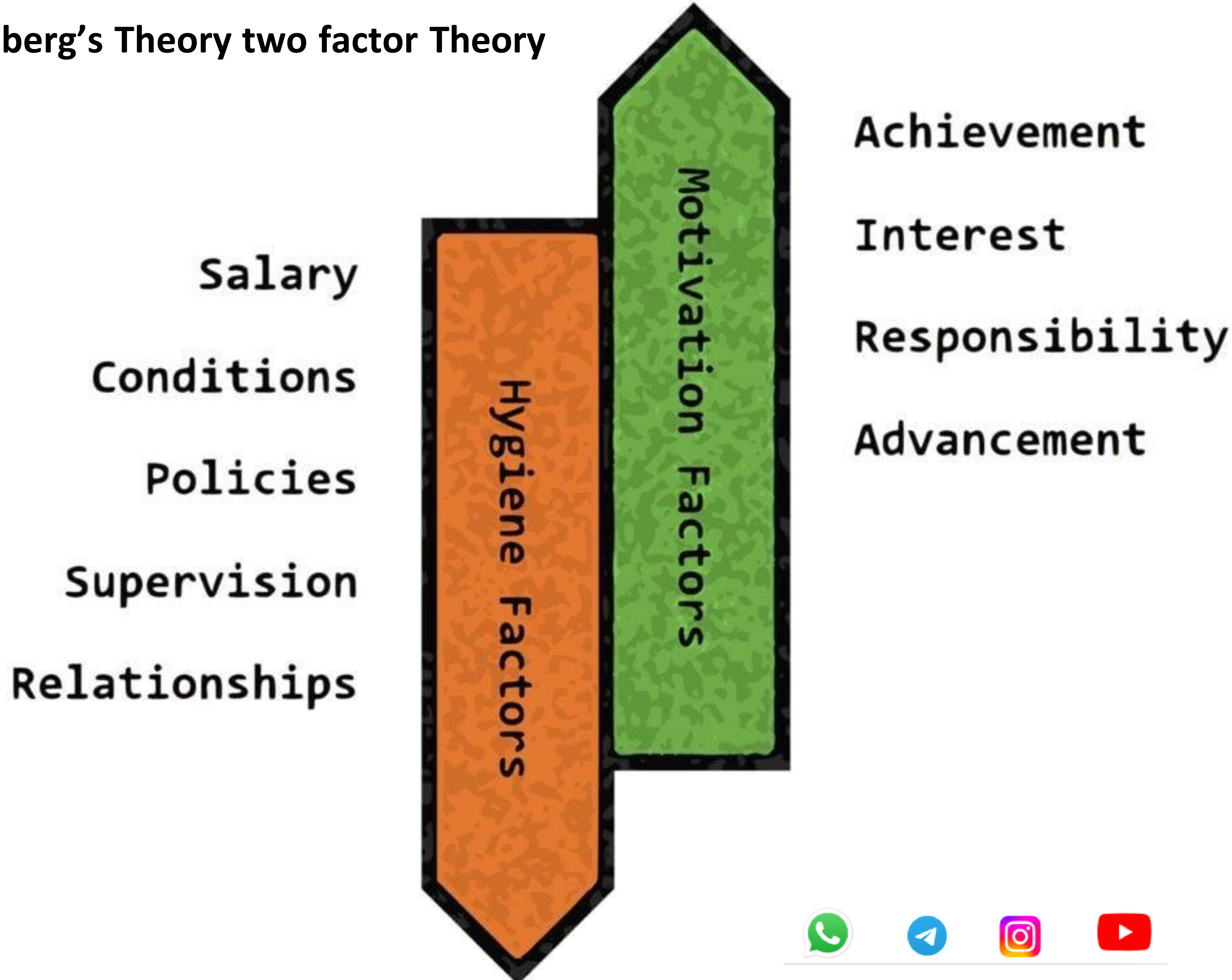
Motivators

Motivators are intrinsic factors that lead to job satisfaction and motivate employees to perform better. These factors are related to the nature of the work itself and how employees feel about their job.

Examples:

- ✓ **Achievement**
- ✓ **Recognition**
- ✓ **Work itself**
- ✓ **Responsibility**
- ✓ **Advancement**
- ✓ **Personal growth**

Herzberg's Theory two factor Theory




McClelland's Achievement Motivation Theory
Need for Power
Need for Achievement
Need for Affiliation

McClelland's Theory of Needs

McClelland's Theory of Needs, also known as the Three Needs Theory or Acquired Needs Theory, was developed by psychologist David McClelland in the 1960s. This theory proposes that individuals are motivated by three primary needs: the need for achievement, the need for affiliation, and the need for power. These needs are acquired over time and shaped by life experiences.

Key Components

Need for Achievement (nAch)

- ✓ The drive to excel, achieve in relation to a set of standards, and strive to succeed.
- ✓ Individuals with a high need for achievement prefer tasks that are moderately challenging and have a clear outcome.
- ✓ They seek feedback on their performance and take calculated risks to achieve their goals.

Need for Affiliation (nAff)

- ✓ The desire for friendly and close interpersonal relationships.
- ✓ Individuals with a high need for affiliation seek approval, like to be part of a group, and value relationships over tasks.
- ✓ They prefer collaborative environments and are motivated by a sense of belonging and acceptance.

Need for Power (nPow)

The need to make others behave in a way they would not have otherwise.

This can be further divided into:

- **Personal Power:** The desire to control others and be dominant.
- **Institutional Power:** The desire to organise others to achieve the goals of the organisation.


Inputs
Equity
Outputs
Loyalty
Hard Work
Commitment
Trust
Fair Balance
Salary
Benefits
Recognition
Achievement

- John Stacey Adams propounded Equity Theory that argues employees are motivated when they perceive their treatment in the workplace to be fair and unmotivated when treatment is perceived to be unfair.

- In an organization, this involves providing employees with recognition for the work they are doing and giving all employees the chance to advance or earn bonuses and other awards.

Inputs

- Inputs are the contributions employees make to their jobs. These include effort, skills, experience, education, and time.
- Employees assess their own inputs relative to those of their colleagues.

Outcomes

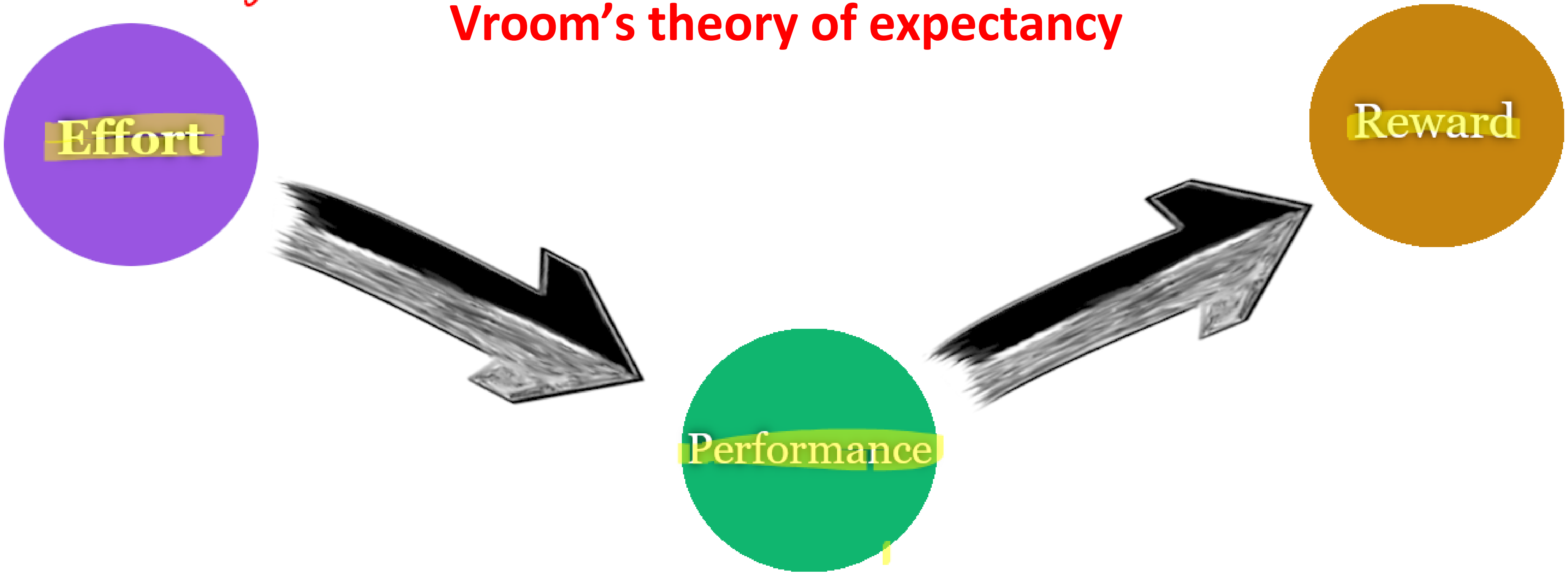
- Outcomes are the rewards employees receive from their jobs. These can be tangible (salary, bonuses, benefits) or intangible (recognition, job satisfaction, career advancement).
- Employees compare their outcomes with those received by others.

Comparison

- Employees compare their input/outcome ratio with that of others (referred to as "referent others").
- If employees perceive their ratio to be equal to that of others, they experience a sense of equity.
- If employees perceive their ratio to be unequal, they experience feelings of inequity.

Motivation

Vroom's theory of expectancy



Vroom's theory of expectancy

- Victor Vroom theory of expectancy stated that people will be highly productive and motivated if either they believe their efforts will lead to successful results or rewarded for their success.

- People will be motivated to exert a high level of effort when they believe there are relationships between the efforts they put forth, the performance they achieve, and the outcomes/ rewards they receive.

Expectancy Theory

Expectancy (Effort → Performance)

The belief that one's effort will result in the desired level of performance.

Influencing Factors:

- **Self-Efficacy**: The individual's belief in their ability to perform tasks.
- **Goal Difficulty**: The perceived difficulty of achieving the performance level.
- **Control**: The individual's perceived control over the performance outcome.

Instrumentality (Performance → Outcome)

The belief that successful performance will lead to a specific outcome or reward.

Influencing Factors:

- **Trust**: The individual's trust in the people who decide the outcomes.
- **Policies**: Clarity and consistency of the organization's reward policies.
- **Linkage**: The clear linkage between performance and rewards.

Valence (Value of Outcomes)

The value an individual places on the expected outcomes or rewards.

Influencing Factors:

- **Needs**: The individual's needs, goals, and values.
- **Preferences**: The individual's preferences for various outcomes.
- **Desirability**: How desirable the individual finds the outcome.

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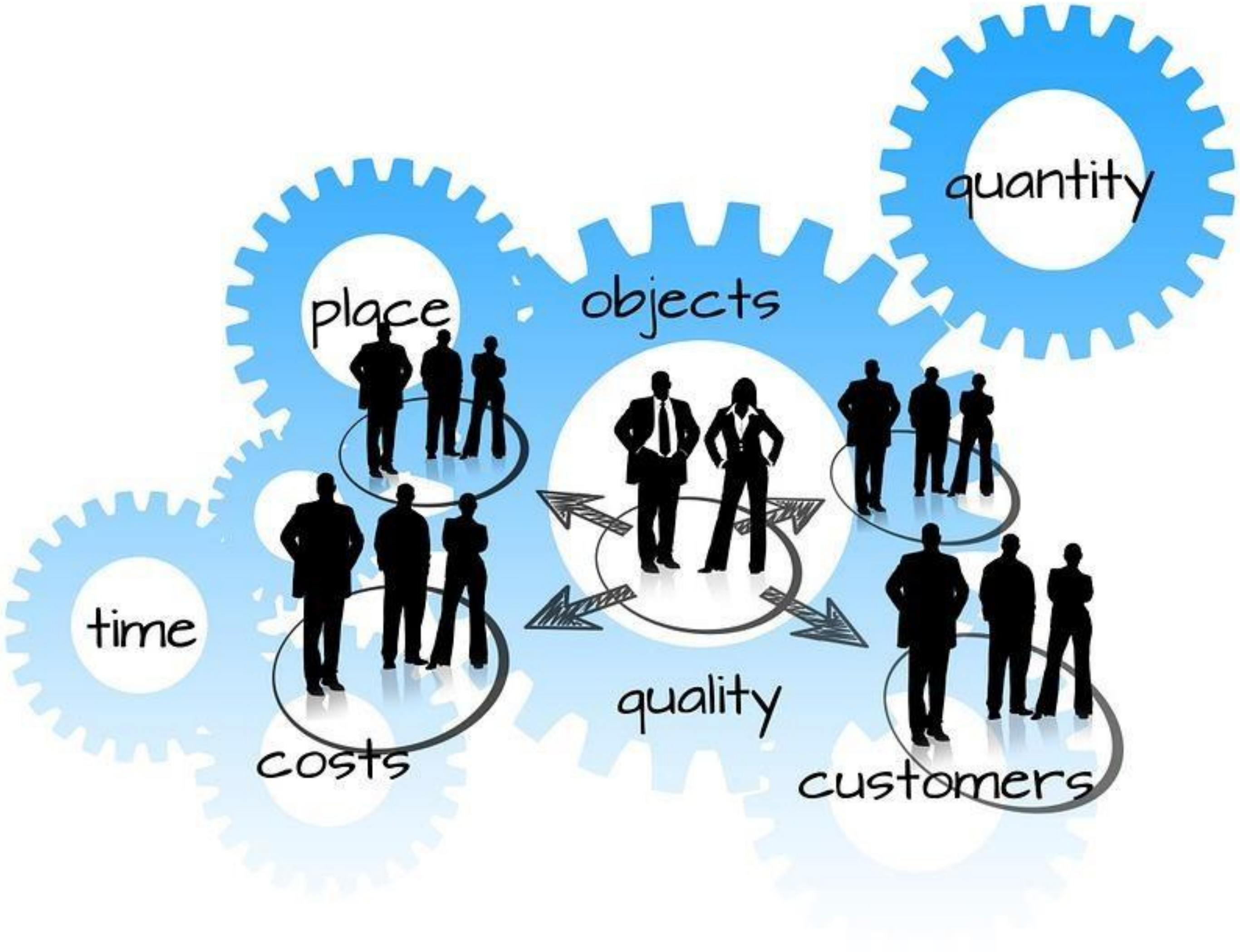
UNIT 6

CONTROLLING

STRUCTURE


quantity
place
objects
time
quality
costs
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1 -> 10 x10 9

1. Set standards by which performance will be measured.
2. Measure performance.
3. Compare actual performance with standards and identify any deviations.
4. Determine the reasons for the deviations.
5. Take corrective action if needed.

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Setting Standards:

Before controlling can occur, standards must be established. These standards can be in terms of performance, financial goals, or any measurable outcome that is relevant to the organization. For instance, a company may set sales targets, production quotas, or quality standards for its operations.

Measuring Actual Performance:

Once standards are set, actual performance must be measured and tracked. This involves collecting data on performance and comparing it with the established benchmarks or targets. Key performance indicators (KPIs) and other metrics are commonly used in this step.

Comparing Actual Performance with Standards:

After performance data is gathered, managers need to analyze how actual results compare to the established standards. This comparison helps to identify any variances, whether positive or negative.

Analyzing and Identifying Deviations:

Any discrepancies or deviations from the standards are carefully analyzed to understand the causes. These could be due to external factors, like changes in the market, or internal issues such as resource limitations or inefficient processes. Identifying the root causes of performance gaps is essential for effective corrective action.

Taking Corrective Actions:

If there are significant variances between the planned and actual performance, managers must take corrective actions. These actions might involve adjusting strategies, reallocating resources, improving processes, providing additional training, or even revising the goals or standards if they are unrealistic.

Feedback and Continuous Improvement:

Controlling is a dynamic, ongoing process that involves feedback loops. The information obtained through the controlling function can be used to refine strategies and improve future planning and decision-making.

6.2 CHARACTERISTICS OF CONTROLLING

The characteristics of controlling are broken down into their component parts, point by point, in order to provide a more in-depth understanding of the concept. The following are the characteristics:

a) Controlling is beneficial to the accomplishment of organisational goals.
b) The procedure makes the most efficient use of the available resources.
c) Controlling judges ensuring the correct application of the standard.
d) Discipline and order are also established as a result of the process.
e) The process of controlling the employees motivates the employees and boosts employee morale, which, in turn, leads to increased effort and labour from the employees within the organisation.
f) Controlling ensures accurate planning for the future by reevaluating the previously established standards.
g) The results of an organisation as a whole will improve as a result of control.
h) The exercise of control reduces the number of errors that occur.

6.3 ADVANTAGES OF CONTROLLING

The management function of controlling provides the following advantages to the organisation:

1. Assists in accomplishing Organisational Goals:
2. Helps in minimising errors
3. Making Efficient and effective use of resources:
4. validates accuracy of standards:
5. Improves order and disciple and motivates staff
6. Results in better coordination within the organisation
7. Simplifies supervision and helps in delegation and decentralisation
8. Provides feedback for data improvement for future planning

6.4 LIMITATIONS OF CONTROLLING

While providing various benefits, as mentioned above, we have to keep in mind that controlling has a few limitations also. Following are the main limitations:

1. It may be costly to implement, especially in smaller firms.
2. It is difficult to compare the actual performance with the accepted standards, specially in case of standards not expressed in quantitative terms, like job satisfaction, team spirit and employee morale etc.
3. There is little or no control on external factors like government policies, changes in consumer behaviour, technological changes, competition, etc.
4. There may be resistance from employees as they may consider it as restricting their freedom.
5. Over-dependence on controls may lead to laxity in supervision.
6. The operations of the organisation may slow down if the rules are implemented rigidly.
7. The organisation may be exposed more errors and frauds if wrong controls are executed.

Types of Control in Management

Feedforward Control:

Concurrent Control:

Feedback Control:

6.5 TYPES OF CONTROL MANAGEMENT

Broadly, the control management can be of 3 types, based on the timing of the control:

1. Feedback control: These controls are based on the feedback received after the activity has taken place. So, the corrective action can be taken only for carrying out similar activity in future.
2. Proactive control: These are future-directed controls which anticipate problems well in advance and the corrective action is taken accordingly.
3. Concurrent control: These controls are based on the real-time engagement of the controller as the activity is being carried out. So, the corrective action can be taken simultaneously with carrying out the activity, to take care of any deficiencies observed.

6.8 CONTROL TECHNIQUES

Control techniques give managers access to the specific information as well as the volume of data they need to measure and monitor performance. The information that is gathered from the various controls needs to be adapted so that it is relevant to a particular management level, department, or operation.

Controlling techniques are the tools that are used to establish control over business activities, monitor those activities, and take any necessary corrective actions. Controlling a business effectively can be accomplished using any number of methods, both traditional and modern.

The selection of the methods absolutely needs to be done in a strategic manner. When deciding on the approach that will be most effective, the organisation needs to take into consideration:

- The Character of the Company or the type of business
- Specific Clientele or Users to Aim For
- The challenges that the Organizations are currently facing

Within the realm of management, there is a wide variety of approaches to controlling that can be implemented. The two broad categories under which techniques of controlling fall are: 1. Traditional Techniques and 2. Modern Techniques.

6.8.1 Traditional Techniques

The term "traditional management techniques" suggests that these methods have been developed and utilised by managers for an extended period of time. The companies believe that these strategies are still effective and continue to use them.

The following is a list of the traditional methods of control that are utilised the most frequently:

6.8.1.1 Personal Observation

It is the most time-honored and traditional approach there is to carrying out the controlling function.

6.8.1.2 Break-even Analysis

This control method illustrates the relationship between cost and volume at varying levels of production output. The Cost, Volume, and Profit analysis is another name for this approach.

It forecasts the profits and losses that will result from changes in the amount of output that is produced. The break-even point refers to the point at which the purchase price and the selling price are equal to one another.

Break-even Point Formula:

$$\text{Break Even Point} = \frac{\text{Fixed Cost}}{\text{Price - Variable Cost}}$$

Total cost involves two types of costs, i.e. Fixed Costs and Variable Costs. Profits and Losses are affected by the proportional changes in both.

Under the Break-Even Analysis technique, the evaluation is based on:

- Break-even Point
- Angle of Incidence
- Contribution Margin
- Margin of Safety

6.8.1.3 Statistical Reports

Information is gathered by the manager so that performance can be evaluated across functional areas. The information that is gathered is then utilised for the purpose of comparison. Involved in this process is the examination of numerical information in the form of:

- Averages
- Percentages
- Coefficient of determination
- Ratios, etc.

The aforementioned information is presented by the organisation in the form of charts, graphs, tables, and so on. The data can be more easily visualised with the help of these reports, and the areas that require attention can be located.

As a result, it is the method for data analysis that is utilised the most and provides the most benefit.

6.8.1.4 Budgetary Control

The traditional control method of budgetary control is an important component of the planning and controlling functions of an organisation. It begins with the planning of the fundamental operations and continues with comparisons of that planning to the performance that actually occurred.

Comparing and analysing the actual performance with the planned performance is an integral part of the budgeting process. In general, the following are included among the steps in budgeting:

a) Establishing criteria by subdividing the overarching goals of the company into those of individual departments.
b) A comparison of the actual performance to the budget and standards that were previously defined.
c) Determine the logical deviations from the plan and take corrective actions after you have calculated them.
d) Having control over one's budget makes it easier to have control over one's day-to-day activities. Consideration must also be given to the amount of resources and labour that will be required to accomplish the goals.
e) There is a possibility that the final budget that was formulated will turn out to be inaccurate and costly.

The following is a list of the various types of budgets that are typically prepared by organisations:

- Cash Budget
- Sales Budget
- Production Budget
- Capital Budget
- Material Budget

6.8.2 Modern Techniques

The management literature has been expanded to include contemporary control techniques. These are relatively new developments that offer novel approaches to the evaluation and management of organisational operations.

6.8.2.1 Return on Investment

Return on Investment, abbreviated as "ROI," refers to the profit made from capital that has been invested. In order to achieve greater financial control over the company, it is analysed. The Du-Pont Method of financial analysis is another name for this methodology.

Calculating the rate of return on investment (ROI) allows us to measure the return that was generated. Using this rate, one can better evaluate the company's current financial situation.

ROI Formula:

$$\text{Return on Investment} = \frac{\text{Net Income}}{\text{Sales}} \times \frac{\text{Sales}}{\text{Total Investment}}$$

According to the method, there are two ways in which we can increase our return on investment:

1. By increasing the volume of sales in a manner that is proportionally greater than the overall investment.
2. By lowering the total investment while maintaining the same level of sales volume.

Therefore, we can interpret it as the utilisation of committed capital for the purpose of producing returns. In addition, companies need to work toward the goal of earning a satisfactory return on investment.

6.8.2.2 Financial Statement and Ratio Analysis

Calculating a variety of Ratios is made easier, which in turn contributes to better financial management of the organisation. In order to accomplish this goal, data is compiled from the financial statements of the companies.

The following ratios are used the most frequently:

- Profitability Ratios
- Liquidity Ratios
- Solvency Ratios
- Turnover Ratios

6.8.2.3 Responsibility Accounting

It is a method of accounting in which the amount of responsibility placed on the individual employee is taken into consideration. Therefore, businesses will conduct an assessment to determine whether or not the employee is capable of carrying out the responsibility in accordance with the criteria that have been established.

This method of command and control works well for large organisations that have a number of different departments.

In general, there are four distinct categories of responsibility centres:

1. Revenue Centre
2. Cost Centre
3. Profit Centre
4. Investment Centre

6.8.2.4 PERT & CPM

The acronym CPM stands for the Critical Path Method, while PERT refers to the Program Evaluation and Review Technique. The management of projects and their overall quality are directly impacted by the application of these control techniques.

Project Evaluation and Review Technique (PERT) is a procedure through which activities of a project are represented in its appropriate sequence and timing. It is a scheduling technique used to schedule, organize and integrate tasks within a project.

The critical path method (CPM) is **a technique where you identify tasks that are necessary for project completion and determine scheduling flexibilities**. A critical path in project management is the longest sequence of activities that must be finished on time in order for the entire project to be complete.

The amount of time spent on the activity or project and the number of steps involved are two of the most important factors affecting its outcome. Therefore, it is in the managers' best interest to reduce the total amount of time and money required to complete the activity.

MODULE – B

ADVANCED CONCEPTS OF FINANCIAL MANAGEMENT

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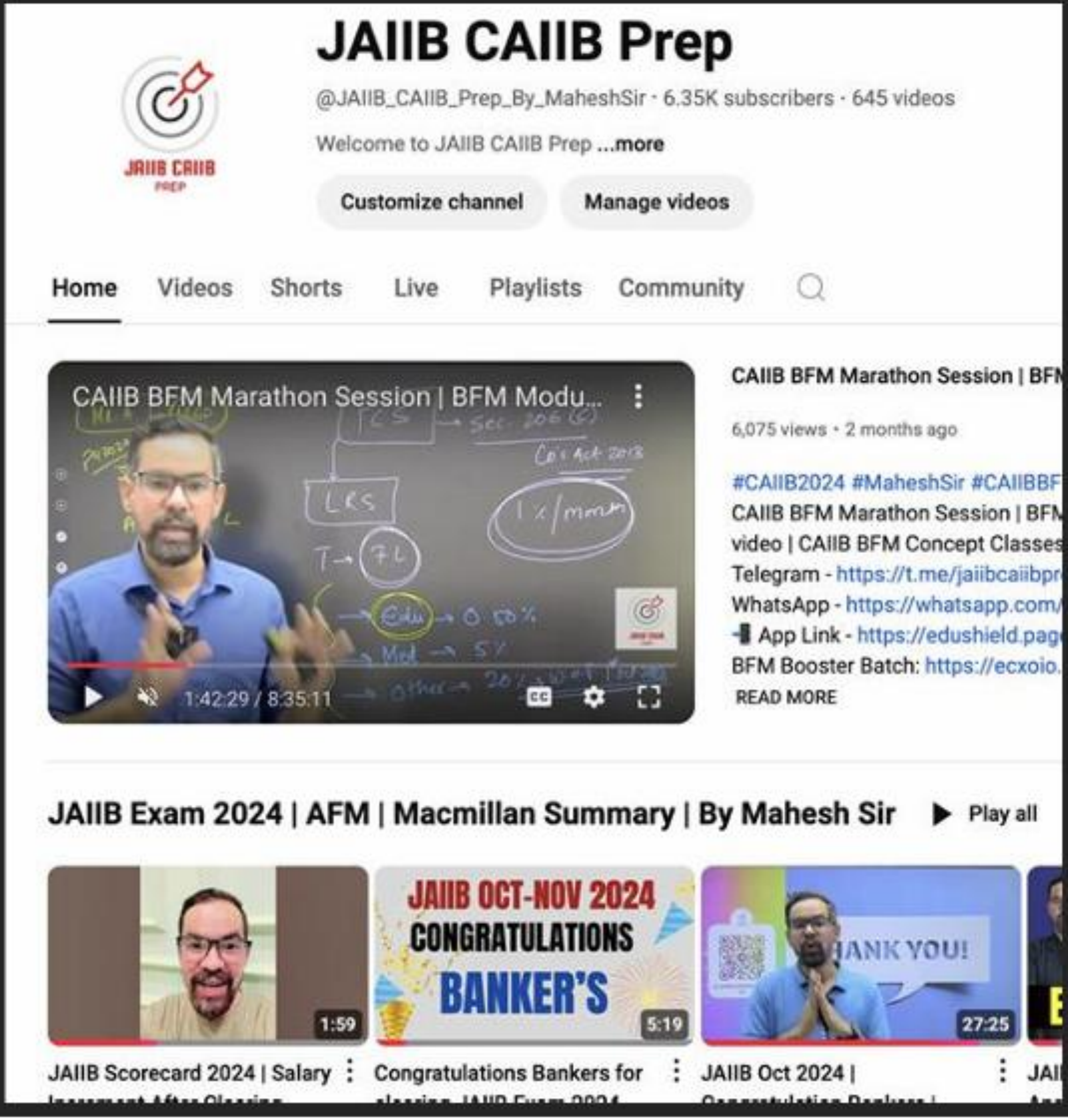

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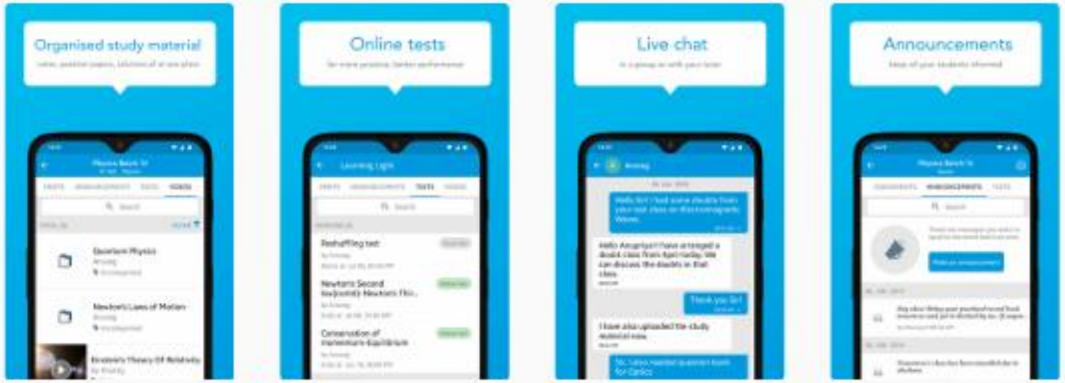

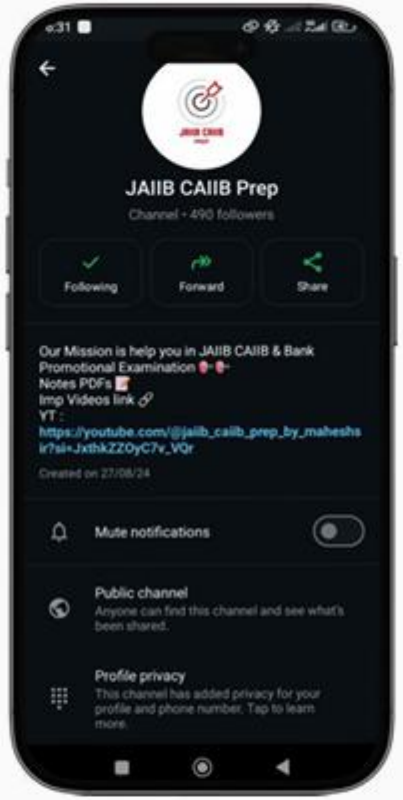

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